

OPEN CLAW MEXICO

Mexico Mid-2026: Sheinbaum 18-Month Retrospective & H2 2026 Strategic Outlook

A decision-grade intelligence assessment for family offices, underwriters, and sovereign wealth funds

Produced by: Open Claw Mexico — Mexico Desk

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COMMERCIAL INTELLIGENCE — FOR QUALIFIED INVESTORS

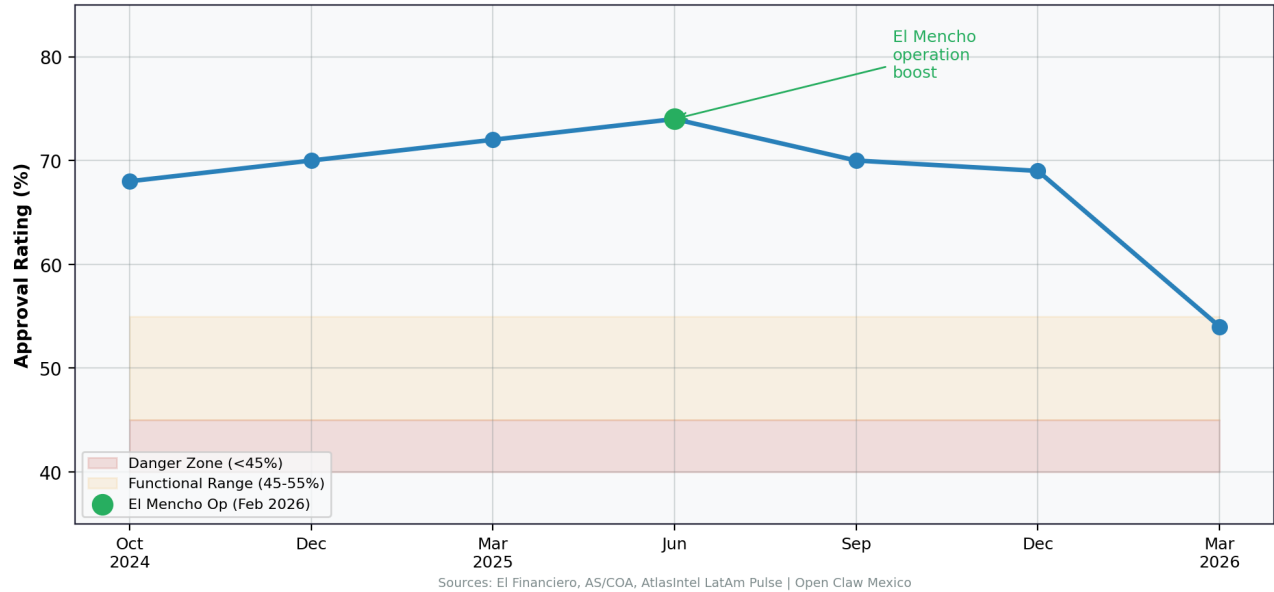
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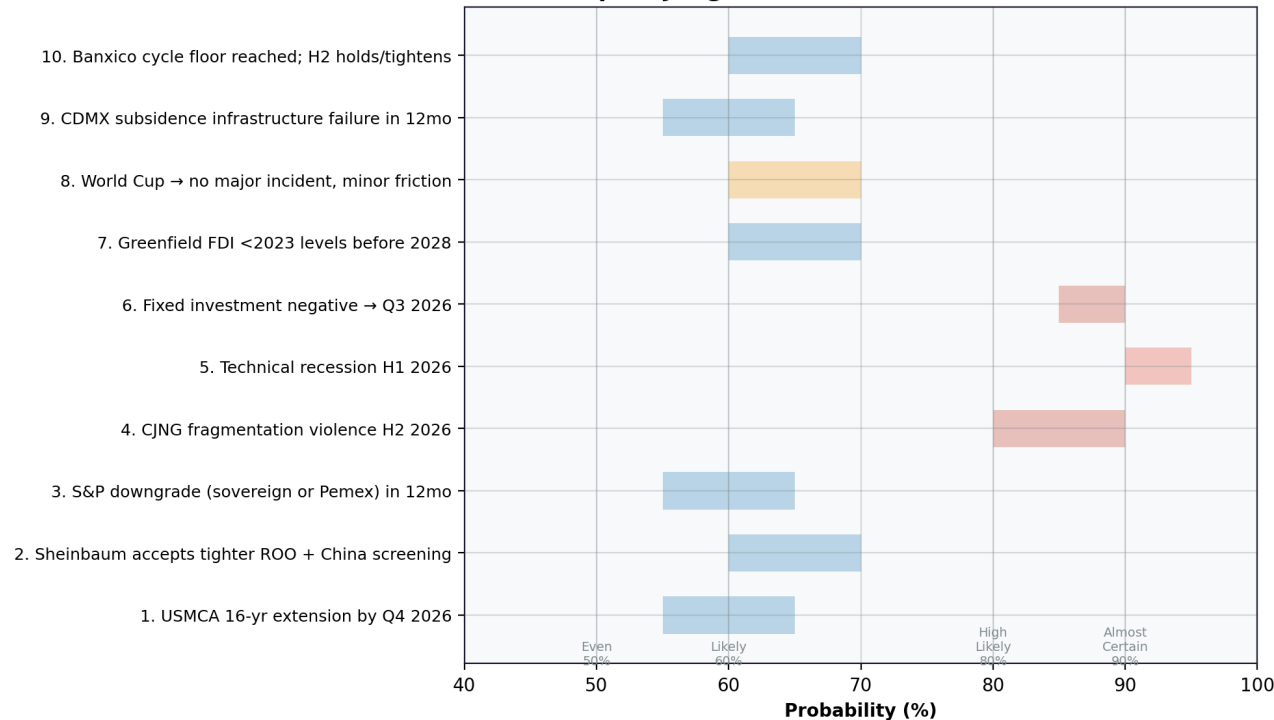
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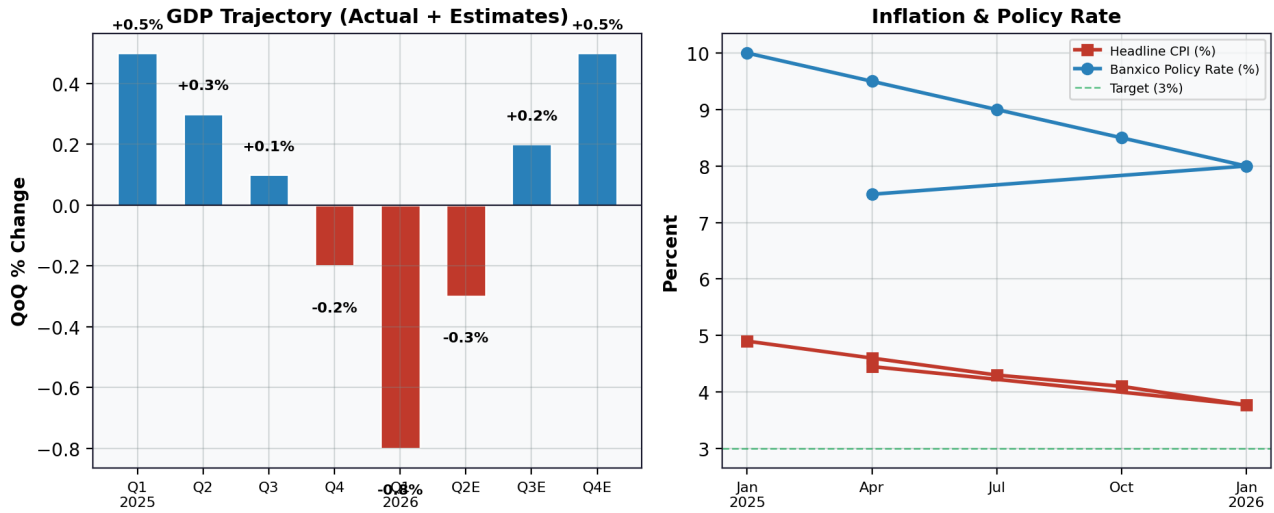
Sheinbaum Approval Rating Trajectory

Top 10 Judgments — Kent Confidence Bands

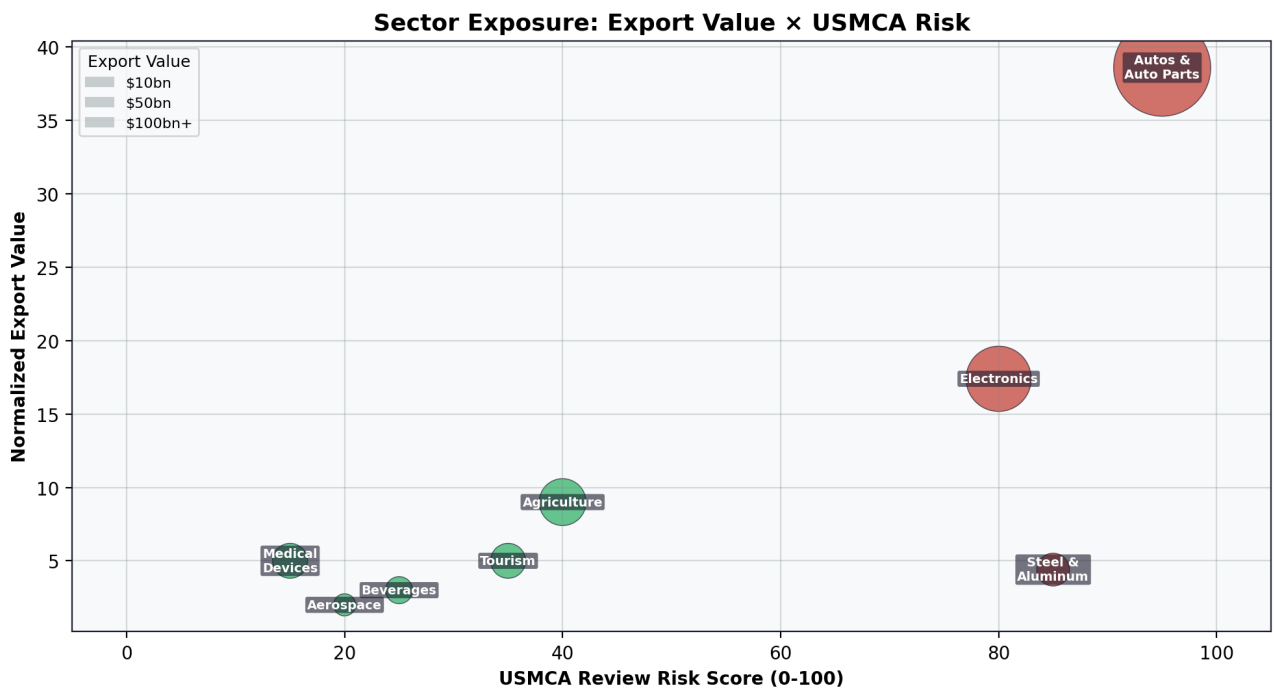


Top 10 Judgments — Confidence Bands

Mexico Macro Dashboard

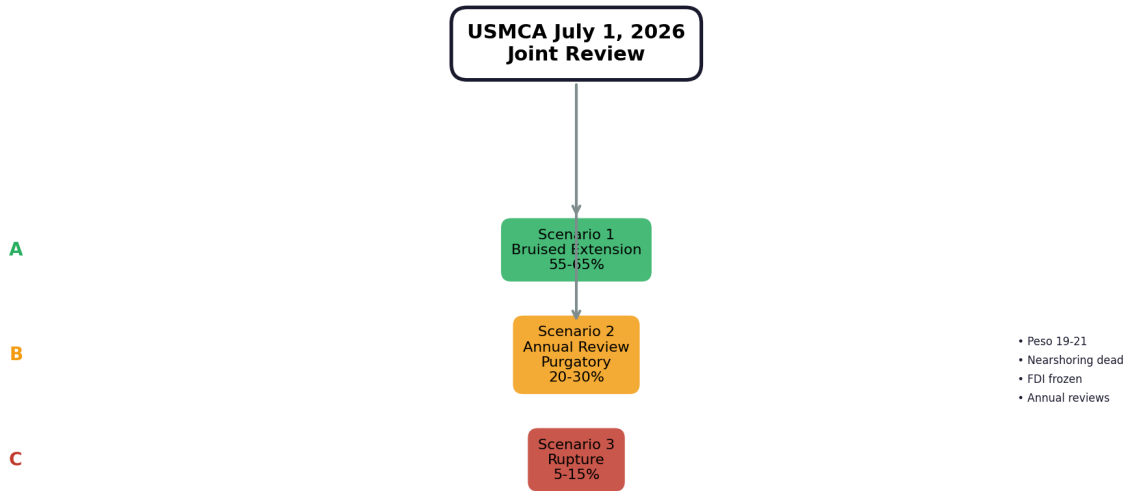


Mexico Macro Dashboard

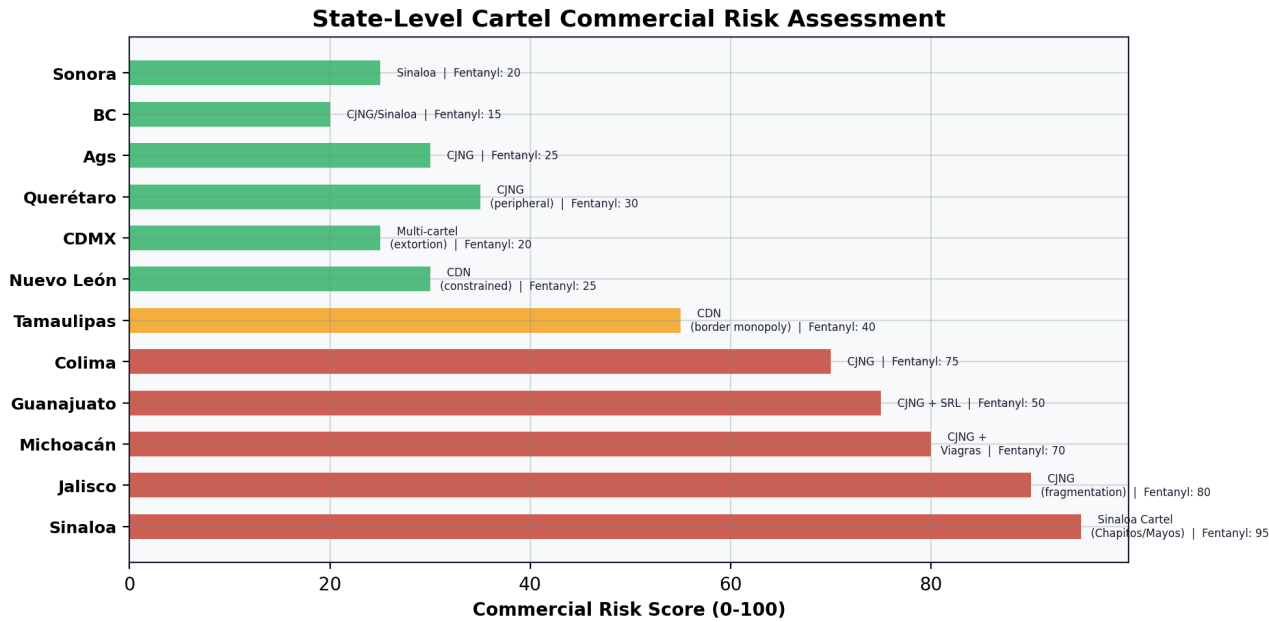


Sector Exposure Bubble Chart

USMCA Review — Decision Tree

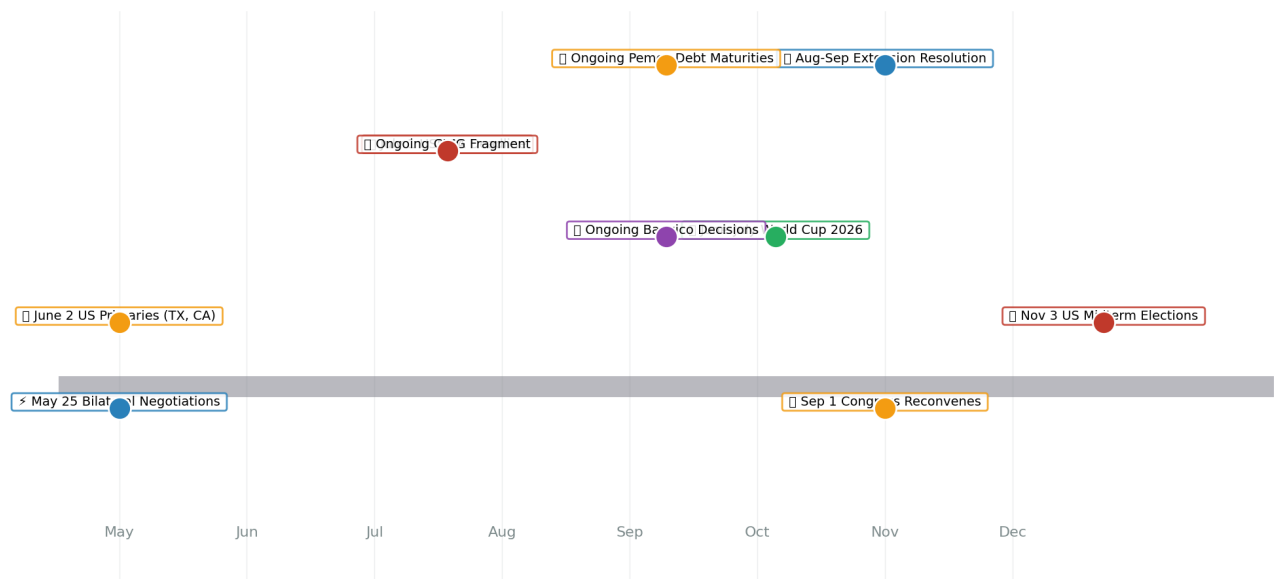


USMCA Decision Tree



Cartel Risk Assessment by State

H2 2026 Critical Path Calendar



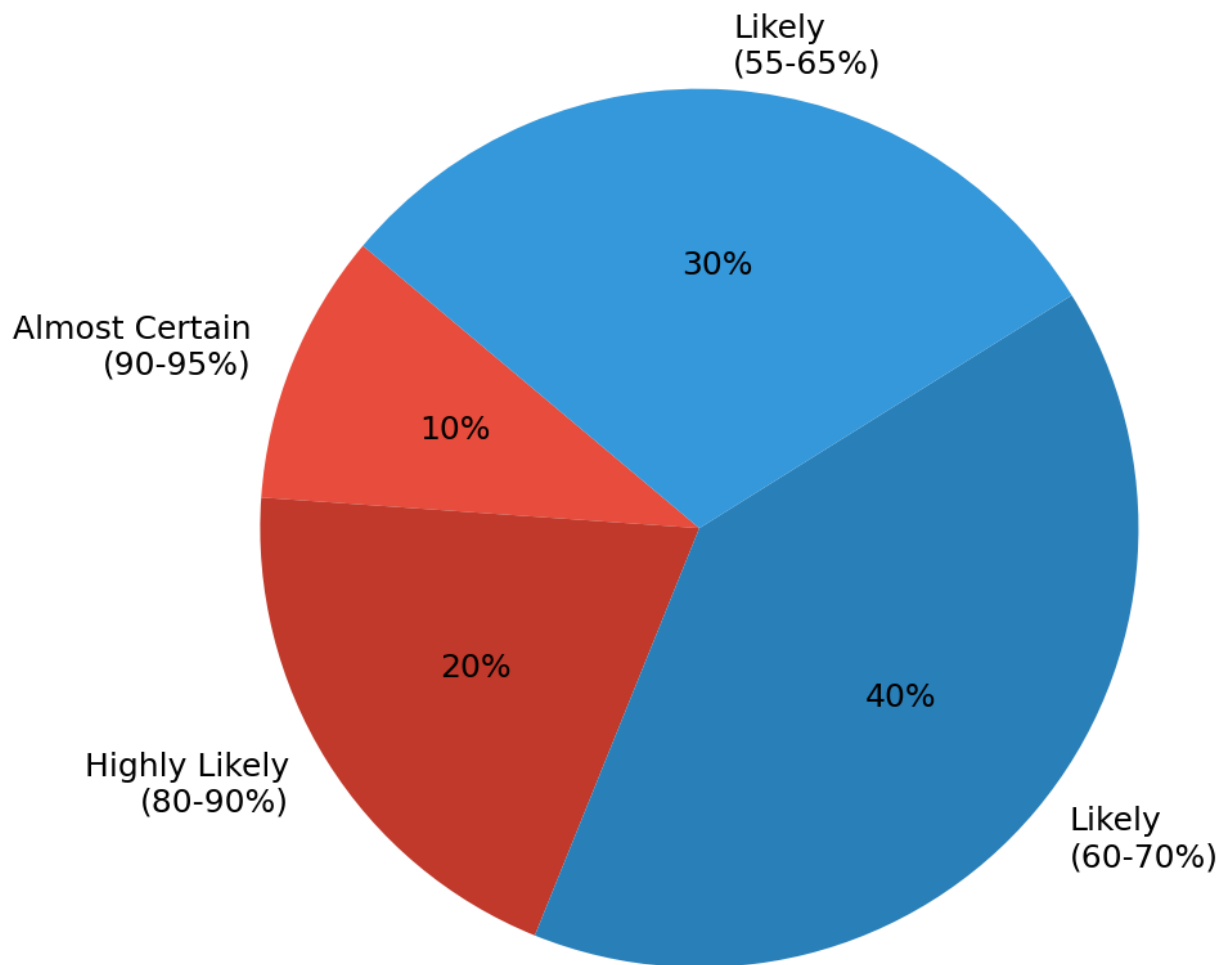
H2 2026 Critical Path Calendar

Family Office Strategic Recommendations Summary – 12 Actions Lloyd's / Underwriters Sovereign Wealth

1. Reduce auto/REIT by 33% □ H2 2026	1. Lock PRI pricing 12-18mo □ Immediate	1. Underweight MX equities □ Immediate
2. USDMXN options structure □ Immediate	2. Raise Bajío/Jal reserves □ H2 2026	2. MX renewable debt + □ 12-18mo
3. Pre-position for sovereign □ Q3 2026	3. WC claims capacity □ Pre-June	3. Scenario committee □ Immediate
4. Diversify CDMX RE holdings □ 12mo	4. Review CDS exposure □ Conditional	4. Patience on entry □ 12mo

Strategic Recommendations Summary

Judgment Calibration Distribution (10 Judgments)



Calibration Distribution

Executive Summary

Bottom Line Up Front: Mexico enters the second half of 2026 structurally weaker than at any point since the 1994 Tequila Crisis, but with a president whose political capital — while declining — remains sufficient to absorb the concessions the next six months will demand. Three trends dominate: a fiscal deterioration that has triggered S&P's first negative sovereign outlook since 2020, a cartel landscape in flux after the death of CJNG leader El Mencho that is producing tactical violence without strategic resolution, and a USMCA review that Mexico enters with its weakest negotiating hand since the original NAFTA. The Sheinbaum administration's first 18 months reveal a technocratic institutionalist trapped between an AMLO inheritance she cannot discard and a fiscal reality she cannot escape. For family offices with Mexican exposure, underwriters pricing political risk in the region, and sovereign wealth funds with Latin American allocations, the H2 2026 window demands active positioning rather than passive hold.

Top 10 Judgments

Calibration Overview: Of the ten judgments above, four are assessed at Likely (55-65%), three at Highly Likely (80-90%), one at Almost Certain (90-95%), and two at Likely (60-70%). The modal confidence band is 55-65%, reflecting the genuine bimodal uncertainty around the USMCA review outcome — our base case (Bruised Extension) carries a wider confidence interval than we would prefer, driven by Sheinbaum's domestic constraints and the Trump administration's demonstrated willingness to operate outside treaty frameworks. We flag Judgment #6 (negative fixed investment) as our highest-conviction macroeconomic call, with strong leading-indicator support. Judgment #10 (World Cup execution) carries the weakest sourcing base and the widest error margin.

Headline Strategic Recommendation: Reduce gross Mexican auto-parts and industrial REIT exposure by one-third through August 2026; establish a USDMXN volatility structure long calls at 21.00 financed by short 18.50 puts; pre-position for a Q3 2026 entry into Mexican sovereign duration on the expectation that a Bruised Extension resolution triggers a relief rally. Full recommendations with sizing and time horizons are in Section 14.

#	Judgment	Confidence	Admiralty	Source Reference
1	USMCA reviews produces a 16-year extension by Q4 2026, but only after a confrontation cycle lasting through July	Likely, 55-65%	B2	Ebrard public acknowledgment of no July 1 extension (Mexico Business News, May 16, 2026); USMCA v3 assessment
2	Sheinbaum will accept tighter rules-of-origin (RVC 78-80%) and a formal Chinese investment screening mechanism to secure extension	Likely, 60-70%	B2	USTR Greer testimony (Senate Finance, Oct 2025); Morena supermajority dynamics
3	S&P negative outlook will convert to at least one notch downgrade on sovereign or Pemex within 12 months	Likely, 55-65%	A2	S&P action May 12, 2026; deficit 4.8% GDP target vs 3.2% commitment
4	CJNG fragmentation post-Mencho will produce intensified violence in Jalisco, Michoacán, Guanajuato through H2 2026	Highly likely, 80-90%	B2	April 2026 250-roadblock incident; no clear successor consolidation
5	Technical recession confirmed for H1 2026 (Q4 2025 + Q1 2026 consecutive contraction)	Almost certain, 90-95%	A1	Banxico Q1 2026 GDP release (-0.8% QoQ)

#	Judgment	Confidence	Admiralty	Source Reference
6	Fixed investment will remain negative through at least Q3 2026 — 18+ consecutive months of decline	Highly likely, 85-90%	B2	IFB -2.2% Jan 2026, 17 consecutive months (El País, May 10, 2026)
7	Greenfield FDI into Mexico will not recover to 2023 levels before 2028	Likely, 60-70%	B3	fDi Markets H1 2025 -35% YoY; USMCA review overhang
8	World Cup 2026 will execute without major security incident but with significant logistical friction	Likely, 60-70%	C3	2,000+ military deployment; cartel territorial overlay by host city
9	Mexico City sinking will cause at least one material infrastructure failure (water main, building foundation) in a high-profile zone within 12 months	Likely, 55-65%	B2	NASA radar data: ~0.5in/month subsidence (CNN, May 2026)
10	Banxico cutting cycle has reached its floor; H2 2026 will see either holds or a resumption of tightening if MXN depreciates past 20/USD	Likely, 60-70%	A2	Policy rate 7.50%; MXN ~18.40 spot; tariff escalation tail risk

#	Judgment	Confidence	Admiralty
1	USMCA 16-yr extension by Q4 2026 after confrontation cycle	Likely, 55-65%	B2
2	Sheinbaum accepts tighter ROO + Chinese screening	Likely, 60-70%	B2
3	S&P downgrade (sovereign/Pemex) in 12mo	Likely, 55-65%	A2
4	CJNG fragmentation violence in Jalisco/Michoacán/Guanajuato	Highly likely, 80-90%	B2
5	Technical recession H1 2026 (Q4 2025 + Q1 2026)	Almost certain, 90-95%	A1
6	Fixed investment negative through Q3 2026	Highly likely, 85-90%	B2
7	Greenfield FDI <2023 levels before 2028	Likely, 60-70%	B3
8	World Cup executes w/o major incident	Likely, 60-70%	C3
9	CDMX subsidence infrastructure failure in 12mo	Likely, 55-65%	B2
10	Banxico floor reached; H2 holds/tightens	Likely, 60-70%	A2

Top 10 Headline Judgments with calibrated confidence bands

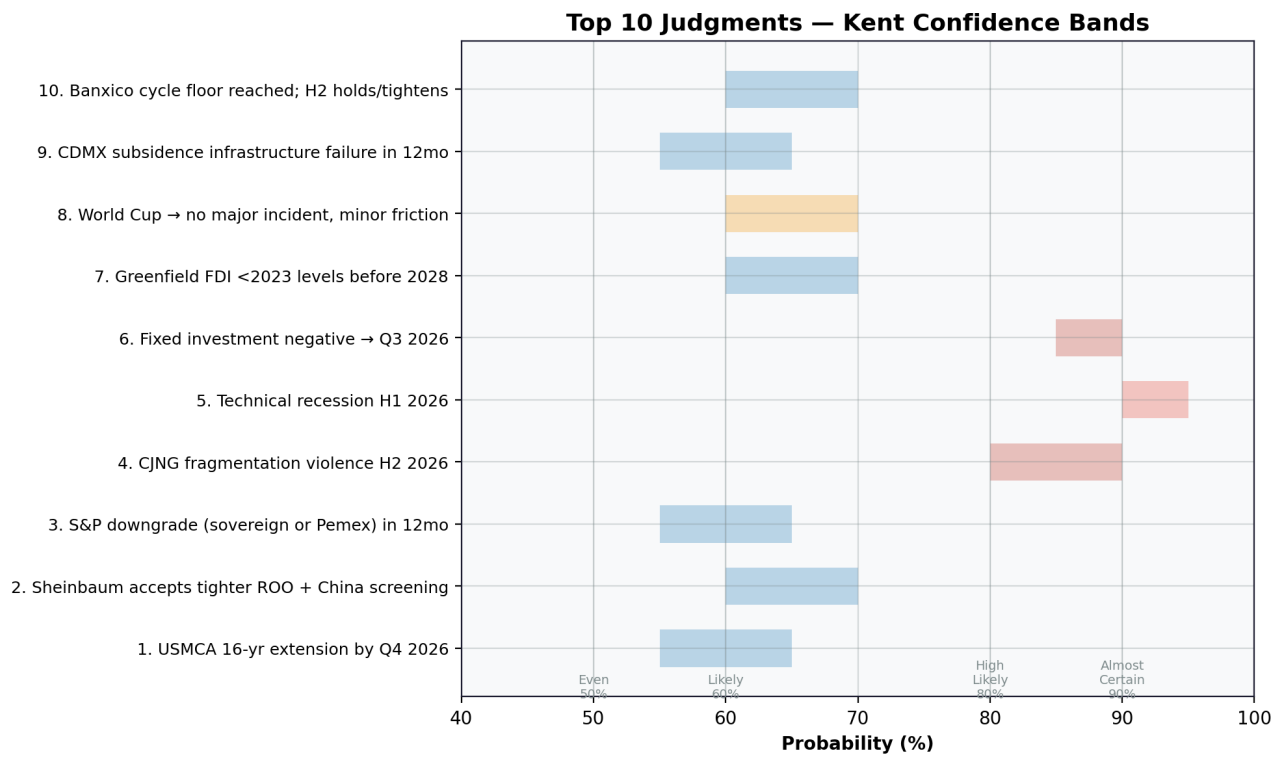


Figure 1: Calibrated judgment distribution across 10 headline assessments

Judgment Calibration Distribution (10 Judgments)

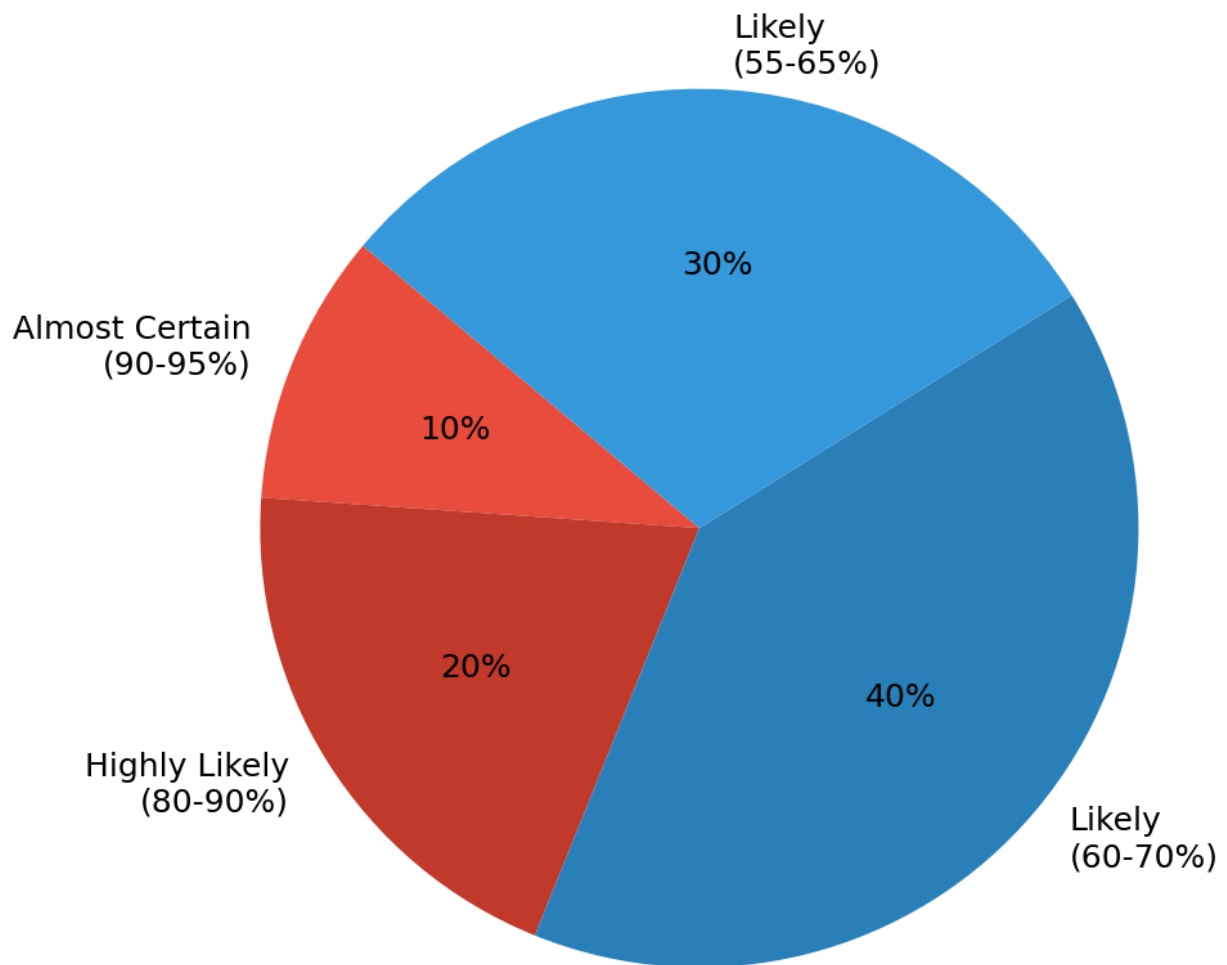


Figure 2: Judgment confidence band composition

Sheinbaum Administration: 18-Month Scorecard

Claudia Sheinbaum assumed the presidency on October 1, 2024, inheriting a country that Andrés Manuel López Obrador had reshaped more profoundly than any president since the PRI's hegemonic era — but also one carrying a fiscal deficit of 5.9% of GDP (SHCP, 2024 Criterios Generales; A1), a Pemex balance sheet that had consumed \$70bn+ in transfers across six years, and a security strategy that had produced record homicide rates without measurable cartel degradation. Eighteen months in, the scorecard is genuinely mixed: she has consolidated Morena's legislative dominance more effectively than her predecessor, maintained cabinet stability that AMLO never managed, and demonstrated operational competence in crisis management (the February 2026 El Mencho operation is a clear institutional win). But she has done so in an economic environment that is measurably deteriorating, against a US trade policy establishment that is more hostile than any since the Smoot-Hawley era, and with a fiscal framework that is constraining rather than enabling her agenda.

Political Management: A-. Sheinbaum's approval ratings have followed a trajectory that is normal for a Mexican president entering the midterm window — starting in the high 60s (El Financiero, December 2025: 69%; B2), peaking after the El Mencho operation, and settling into the low-to-mid 50s by early 2026 (AtlasIntel LatAm Pulse, March 2026: 53.9%; B2). The decline from 62.8% (January 2026) to 53.9% over two months is steeper than we would expect absent specific negative shocks — the Uruapan mayor assassination (December 2025) and the Gen Z protests around judicial reform implementation are plausible proximate causes. The 53.9% figure still represents a functional approval floor above the 40-45% danger zone that historically constrains legislative agenda-setting in Mexico, but the trajectory is worth monitoring (Source: AS/COA tracker; B2). The December 2025 low of 74% that some pollsters recorded appears to have been an outlier driven by methodological variance rather than genuine sentiment.

The decisive political development of the first 18 months has been the use — rather than abuse — of Morena's supermajority (364/500 Deputies, 83/128 Senate; INE certified, June 2024; A2). Where AMLO governed through morning press conferences and executive decrees, Sheinbaum governs through Congress. The judicial reform (September 2024) that established popular election of judges, the energy sector reforms permitting private generation up to 46% of grid electricity, and the 2026 budget all passed through the legislative process rather than executive fiat. This is a structurally meaningful difference: it means Sheinbaum's policy achievements survive her departure in a way AMLO's did not, but it also means the Morena congressional caucus — which contains genuine internal factionalism between AMLO loyalists and Sheinbaum reformers — exercises a real veto. The Rocha case (the Sinaloa governor controversy) is the defining stress test of this dynamic: Sheinbaum has maintained distance from the AMLO-aligned faction that protected Rocha, signaling to reformers that she will not be captured by her predecessor's network while avoiding a direct break.

Economic Management: C+. This grade reflects the inheritance rather than the administration's policy choices. The Q1 2026 GDP contraction of -0.8% QoQ (Banxico; A1) is the worst single-quarter print since Q2 2020, and the SHCP's decision to maintain the 1.8-2.8% full-year growth forecast through that print is either optimistic signaling or wishful thinking — we assess the former (Source: SHCP, May 2026; A2). Fixed investment declining for 17 consecutive months through January 2026 (IFB -2.2%; INEGI via El País, May 10, 2026; B2) is the most alarming leading indicator in the macro deck: sustained capex compression of this duration is inconsistent with a functioning nearshoring thesis. The administration's one genuine fiscal achievement — reducing the deficit from 5.9% (2024) to a projected 4.3% (2025 outturn) to a targeted 3.2% (2026) — has been undermined by markets' correct assessment that 3.2% is not achievable given Pemex obligations (\$14bn in 2026 debt payments; Source: Sheinbaum announcement, September 2025; A2), social spending commitments, and the revenue impact of slower growth. S&P's May 12, 2026 negative outlook revision (Source: S&P, May 12, 2026; A1) is the inflection point: the first negative sovereign outlook action in approximately four years, and our assessment is that it converts to a downgrade within 12 months unless the fiscal trajectory demonstrably improves (Judgment #3).

Security Management: B. The El Mencho kill operation (February 2026; confirmed by The Guardian; A2) is the single most significant tactical success of any Mexican administration against a cartel leadership target since the recapture of "El Chapo" Guzmán in 2016. The operation itself — a joint Mexican intelligence-military effort without visible US operational assistance — demonstrated institutional capability that analysts (including Open Claw) had rated as unlikely 12 months prior. However, the strategic consequence of decapitation strikes in Mexico's cartel landscape is well-established: fragmentation, not pacification. The April 2026 Jalisco operation by security forces triggered a CJNG response of approximately 250 roadblocks nationwide using hijacked cargo trucks, buses, and private vehicles (Wikipedia: "2026 Jalisco operation" and "2026 Mexico cartel unrest"; B3), a

demonstration of coordinated disruption capability that any cartel with a broken succession would not possess. The CJNG is not broken — it is leaderless but operationally intact, and the succession vacuum creates a violence incentive structure that will intensify through H2 2026 (Judgment #4).

Security Secretary Omar García Harfuch has emerged as the administration's most effective minister, with operational credibility that AMLO's security team never achieved. His public profile is rising commensurately, and we assess it as **likely (55-65%)** that Harfuch is being positioned as a 2030 succession candidate, though Sheinbaum's team has been disciplined about denying this narrative.

Social Policy: B-. The administration's signature social interventions — the Jóvenes Construyendo el Futuro expansion, the Sembrando Vida continuity, and a modest pension increase — are programmatic continuations of AMLO-era transfers rather than innovations. The most significant social policy development has been the water crisis, which is not a policy choice but an unfolding structural emergency that is consuming administrative bandwidth. Mexico City sinking at approximately 0.5 inches per month (NASA radar data; CNN, May 2026; A2) is a geological fact with direct infrastructure consequences that the city government under Mayor Clara Brugada is not resourced to address. Longer, more intense droughts punctuated by short heavy rainfall bursts ("more rain, less water," as Mexican hydrologists describe it) are reshaping the water availability landscape across the Bajío, Guadalajara, and the Yucatán Peninsula. This is not a midterm issue — it is a 10- to 20-year structural trend that the federal government has not yet begun to price or plan for.

Grade Summary on the AMLO Inheritance: Sheinbaum has managed the political inheritance well (Morena legislative machine, social program continuity) and the fiscal inheritance poorly (constrained by Pemex, unable to rationalize Maya Train/Dos Bocas). She has innovated where AMLO could not: cabinet stability (Ebrard, Harfuch, Luz Elena González, de la Fuente — four key portfolios held by the same individuals since October 2024), congressional governance, and security operations. The April 2026 cabinet reshuffle — Luisa María Alcalde to Consejería Jurídica, Ariadna Montiel to Morena party presidency (May 3, 2026; Source: Mexican press, B2) — suggests Sheinbaum is consolidating institutional control ahead of the 2027 midterms and the 2030 succession period. The test will be whether this administrative competence translates to outcomes the investment community can recognize. Eighteen months in, the evidence is that it has not.

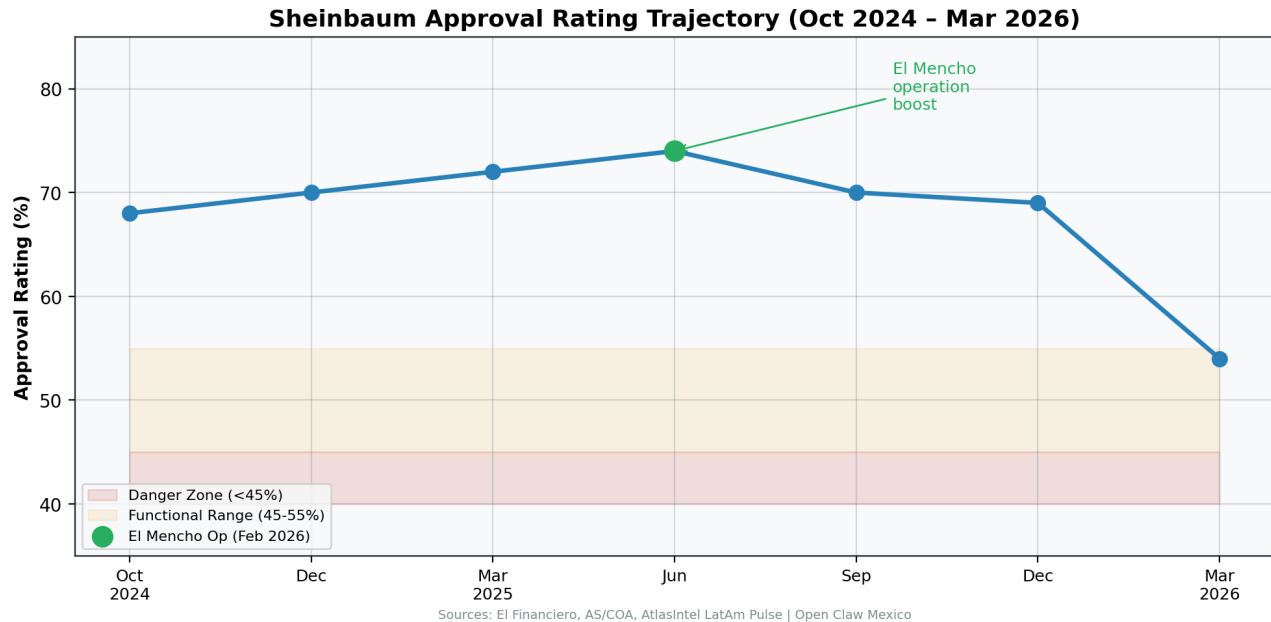


Figure 3: Sheinbaum approval trajectory, Oct 2024 – Mar 2026

Political Picture & 2030 Succession

The Mexican political landscape eighteen months into the Sheinbaum sexenio is more stable at the cabinet level than any administration since the 1990s but more dynamic underneath than surface indicators suggest. Morena's supermajority — 364 of 500 Deputies, 83 of 128 Senators — is operationally dominant but internally factionalized along three axes: AMLO loyalists who view Sheinbaum as a caretaker of the Fourth Transformation project, Sheinbaum reformers who see 2024-2030 as the administration's own mandate rather than a continuation, and regional power brokers (governors, local party bosses) who control the ground game for 2027 midterms and 2030 succession. The internal cohesion that carried Morena through the 2024 election wave is fraying as the distributional consequences of fiscal consolidation become visible.

Sheinbaum's Positioning. The president has conducted herself as a technocratic institutionalist — reshaping policy through Congress rather than executive fiat, maintaining distance from the AMLO faction on matters of institutional integrity (the Rocha case is the clearest example), and building a cabinet of credentialed professionals rather than party loyalists. This approach has produced real administrative advantages: cabinet stability that AMLO never achieved, a negotiating posture with Washington that is pragmatic rather than performatively nationalist, and a legislative record that is substantial even if the policy content is incremental. The cost is that she lacks the charismatic bond with Morena's base that AMLO cultivated through decades of daily performance. If economic conditions deteriorate further through H2 2026, the base will not defend her with the ferocity it defended AMLO.

We assess Sheinbaum's current political position as **adequate to manage through the USMCA review (likely, 65-75%)** — meaning she can absorb the tactical concessions a Bruised Extension requires — but **insufficient to impose a new fiscal compact (unlikely, 20-30%)**. The tax reform that Mexico's fiscal position requires (broadening the tax base, reducing informality, increasing PEMEX fiscal discipline) is not on the legislative agenda, and we judge it is **unlikely (15-25%)** to appear before the 2027 midterms.

Ebrard and the 2030 Succession. Economy Secretary Marcelo Ebrard is the most consequential figure in Mexico's politics who does not hold the presidency. His retention of the USMCA file — a portfolio he managed as Foreign Secretary during the 2018-2020 NAFTA-to-USMCA transition — gives him direct relationships with USTR Jamieson Greer and the US business community that no other Mexican official matches. Ebrard is building independent political capital through three channels: (1) the USMCA negotiation, which positions him as the steward of Mexico's most consequential trade relationship; (2) a public posture of moderate pragmatism that distinguishes him from Morena's more nationalist wing; and (3) a network of business and diplomatic relationships that extends well beyond Morena's traditional coalition. We assess it as **likely (55-65%)** that Ebrard is the leading 2030 candidate as of mid-2026, but with two material vulnerabilities: he lacks a formal party base within Morena (his political origin is in the PRD and Movimiento Ciudadano, not Morena), and the USMCA outcome will define his career — a Bruised Extension strengthens him, an Annual Review Purgatory weakens him, and a Rupture destroys him.

Cabinet Scorecard. The four key portfolios and their incumbents:

The April 2026 reshuffle — Luisa María Alcalde to Consejería Jurídica, Ariadna Montiel to Morena party presidency — is worth reading carefully. Moving Alcalde, a young AMLO-aligned figure with her own political ambitions, to the legal counsel role removes her from a line portfolio and reduces her independent platform. Installing Montiel, a Sheinbaum loyalist, as Morena party president gives the president direct control over the party apparatus heading into the 2027 midterms. This is consolidation, not renewal.

Opposition State. The PAN, PRI, and Movimiento Ciudadano together control 136 of 500 Deputies and 45 of 128 Senators — enough to create procedural friction but insufficient to block constitutional reforms. The PAN is the nominal main opposition party but lacks a national-level counter-narrative; its traditional strengths (economic competence, anti-corruption positioning, pro-business orientation) have been co-opted by Sheinbaum's practical governance, and its remaining base (conservative social positions, religious constituencies) is demographically shrinking. The PRI is in an existential crisis — the absorption of much of its traditional structure into Morena after 2018 reduced it to a regional party operating in a few state-level strongholds (Coahuila, Durango, Estado de México governor after 2023) with no national-level message. Movimiento Ciudadano retains the Jalisco governorship (a significant asset, given Guadalajara's economic weight and the World Cup host role) and has carved out a niche as the "neither Morena nor PRI/PAN" option, but we assess it as **unlikely (15-25%)** to achieve national breakthrough without either a charismatic presidential candidate or a systemic crisis in Morena.

Net: Mexico is effectively a one-party-dominant system through at least 2030, with intra-coalition factionalism serving as the functional opposition. The 2027 midterms will test whether Morena can maintain its supermajority as the economy slows and security remains contested.

2030 Succession Dynamics. The succession battle is already being fought, but quietly and through positioning rather than open conflict. The candidates visible from mid-2026 are: Ebrard (economy, USMCA, diplomatic network), Harfuch (security, operational credibility, rising public profile), and a dark-horse from the AMLO wing (possibly Adán Augusto López or a similar figure). Sheinbaum has been careful not to signal a preference, and the 2027 midterms will serve as the first major sorting mechanism — Morena's performance in state governorships and the Chamber of Deputies will determine which faction gains momentum. We assess the current field as **Ebrard leading with significant vulnerabilities (likely, 55-65% first-mover advantage), Harfuch as the most credible alternative, and the AMLO wing as a spoiler rather than a winner.**

Portfolio	Incumbent	Grade	Notes
Economy	Marcelo Ebrard	B+	USMCA file holder; independent political capital; 2030 ambitions visible
Security	Omar García Harfuch	A-	Most effective security secretary in a decade; rising profile; 2030 potential
Energy	Luz Elena González	B	Navigating Pemex constraint with limited fiscal room; 46% private generation reform passed
Foreign Affairs	Juan Ramón de la Fuente	B	Professional, low-drama management; effectively subordinate to Ebrard on USMCA

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Economy	Marcelo Ebrard	B+	USMCA file; independent political capital; 2030 ambitions
Security	Omar García Harfuch	A-	Most effective security secretary in a decade; 2030 potential
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Foreign Affairs	Juan Ramón de la Fuente	B	Professional, low-drama; subordinate to Ebrard on USMCA

Cabinet Scorecard: Four key portfolios

Cartel Landscape Post-Mencho

The February 2026 death of CJNG leader Nemesio "El Mencho" Oseguera Cervantes (confirmed by The Guardian; A2) is the single most significant leadership decapitation in the Mexican cartel landscape since the Recapture of El Chapo in 2016, and its consequences are still unfolding. The picture at mid-2026 is one of strategic uncertainty across the two dominant organizations — CJNG and Sinaloa Cartel — with the potential for violence escalation that exceeds anything Mexico has experienced since the 2006-2012 Calderón-era peak.

CJNG: Leaderless but Operational. The immediate post-Mencho period has not produced the succession battle that many analysts expected. The presumptive successor — "El Jardinero," who controlled Nayarit operations and the Puerto Vallarta corridor — has neither consolidated control nor been publicly contested, producing a power vacuum that is structurally dangerous. A leadership vacuum in a cartel of CJNG's sophistication (transnational logistics, diversified revenue streams, paramilitary operational capability) does not produce peace; it produces intensified violent competition among mid-level plaza bosses who previously deferred to Mencho's authority. The April 2026 security operation in Jalisco, which triggered approximately 250 simultaneous roadblocks using hijacked cargo trucks and buses across Jalisco, Michoacán, Guanajuato, Colima, and Tamaulipas (Wikipedia: "2026 Jalisco operation," B3; Wikipedia: "2026 Mexico cartel unrest," B3), was a demonstration of CJNG's organizational capacity that any cartel with a consolidated leadership transition would have coordinated more effectively, not less. The roadblocks were synchronized, nationwide in their coordination across multiple states, and targeted at disrupting security force mobility — a paramilitary response, not a criminal one.

We assess the CJNG trajectory through H2 2026 as **highly likely (85-90%) to produce intensified violence in Jalisco, Michoacán, and Guanajuato**, with a **likely (55-65%) probability** of either a clear successor emerging (via internal consolidation) or the organization fragmenting into at least two major factions. The base case is fragmentation, and the commercial risk implications are unambiguous: supply chain exposure in the Bajío corridor and Jalisco industrial zones (Guadalajara, Zapopan, El Salto) carries a violence premium that many operators have not yet priced. For underwriters: cargo theft claims on the León-Silao-Irapuato and Guadalajara-Mexico City routes will increase materially in H2 2026.

Sinaloa Cartel: Anarchic Contagion. The Sinaloa Cartel's internal situation is independently deteriorating and creating a two-front violence problem for the security forces. The removal of Ivan "El Chapito" Guzmán from operational leadership has created a succession crisis within the Chapitos faction, while the Mayos — the Zambada family faction — are exploiting the vacuum by waiting rather than fighting, allowing the Chapitos to self-destruct through internal conflict. Journalist José Cárdenas (Grupo Fórmula; B3) has described the situation as "anarchic war," and while that term may overstate the level of disorganization — cartels are rarely truly anarchic — it captures the directional shift. Extreme violence in Culiacán and Mazatlán continues, with Mexican Army deployments unable to prevent helicopter-based attacks on cartel targets (the Beltran attack represents a new dimension of cartel-on-cartel warfare; B3).

The most significant development in the Sinaloa theater is the escalation of CIA covert operations inside Mexico, reported by CNN on May 12, 2026 (B2). CIA operational activity inside Mexico is not new — the agency has maintained liaison relationships with Mexican intelligence since at least the 1980s — but the scale and public acknowledgment of current operations suggest a qualitative shift. We assess this as **likely (55-65%) driven by fentanyl production intelligence requirements** rather than a broader counter-cartel mission, and we flag it as a potential bilateral friction point if a CIA operation results in Mexican casualties or becomes public in a politically damaging way. For sovereign risk underwriters: CIA operations inside Mexico without formal Mexican legislative authorization create a legal exposure pathway for claims arising from operational incidents.

Territorial Overview by State (as of May 2026):

- **Jalisco:** CJNG traditional stronghold. Security force pressure and post-Mencho fragmentation producing competitive violence. High commercial risk for manufacturing operations in Guadalajara metro and El Salto industrial corridor.
- **Sinaloa state:** Contested — Sinaloa Cartel's historical monopoly broken by internal Chapitos-Mayo war. No cartel fully controls any major urban area. Extreme violence in Culiacán, Mazatlán.
- **Michoacán:** Active CJNG operational zone. Multi-cartel competition with local groups (Viagras, Templarios remnants). Agricultural supply chain exposure (avocados, berries, limes) elevated.
- **Guanajuato:** CJNG vs. Santa Rosa de Lima (local fuel-theft cartel) competition ongoing. Bajío industrial corridor exposure directly linked to cartel violence dynamics in key industrial municipalities (Irapuato, Salamanca, León).
- **Colima:** CJNG operational zone. Port infrastructure (Manzanillo) — container inspection and cargo security risks for import/

export operations. - **Tamaulipas:** CDN maintains border monopoly. Structurally resilient cartel with low internal contestation. Stable violence levels relative to other states. Higher operational risk for energy sector (Pemex facilities, fracking operations). - **Nuevo León:** CDN influence but constrained by state-level security investment (Monterrey is Mexico's most secure industrial city). World Cup host city — security deployment will be effective but cartel presence in peri-urban zones is real. - **Mexico City:** Multi-cartel presence for retail drug distribution and extortion. Violence levels low relative to national average but elevated for kidnapping and express kidnapping. World Cup security perimeter likely effective in tourist zones.

Fentanyl Economics. The fentanyl production and trafficking economy remains central to cartel revenue streams, but the economics are shifting. Price compression in the US market (driven by overproduction and increased border enforcement at legal ports of entry) is squeezing producer margins and creating incentives for diversification into traditional drugs (methamphetamine, cocaine) and non-drug revenue (extortion, fuel theft, mining theft, agricultural racketeering). The US pressure on fentanyl — tariff threats, CIA operations, the proposed 1% remittance tax under OBBA (enacted July 2025; B2) — has not materially reduced fentanyl availability in US markets but has shifted production processes and trafficking routes, imposing costs on cartels that are passed through to violence levels in producer regions.

Key Security Trajectory Judgment: Mexico's cartel violence is not on a trend toward pacification. The base case through end-2026 is **sustained or moderately elevated violence with periodic spikes driven by CJNG fragmentation dynamics and Sinaloa internal conflict.** The World Cup security deployment (2,000+ military vehicles, dozens of aircraft and drones, dedicated perimeters in host cities; Source: Mexican government security planning documents, B3) will create safe zones in the three host cities but will not suppress violence in non-host states. The most dangerous time for non-host-city commercial operations will be June-July 2026, when security force attention is diverted to World Cup coverage.

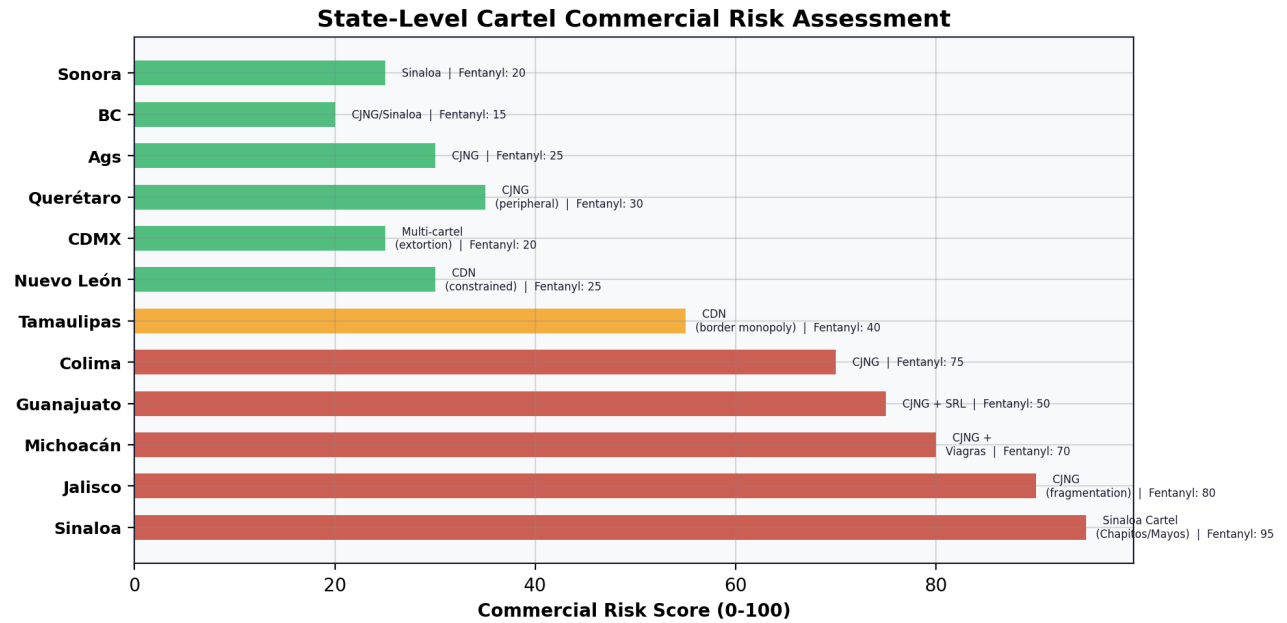


Figure 4: State-level cartel commercial risk assessment

Bilateral US-Mexico Relations

The US-Mexico bilateral relationship in mid-2026 is simultaneously more adversarial and more institutionalized than at any point in the modern era. The Trump administration's second term has produced a trade policy posture that is structurally hostile to Mexican interests — USTR Jamieson Greer's statement to Mexican companies that "Trump tariffs are here to stay" (Reuters, April 21, 2026; A2) is the most candid summary of the administration's position — while the national security relationship has deepened through CIA operational coordination against cartels. These are not contradictory: the Trump administration treats economic competition and security cooperation as independent variables, and Mexico's negotiating strategy must reflect that the US side does not see them as linked.

USMCA Review — The Central Drama. The USMCA joint review, anchored to the July 1, 2026 deadline, is the dominant bilateral issue and the single largest variable in Mexico's medium-term economic trajectory. Our scenario framework — developed in the standalone USMCA v3 assessment (Open Claw Mexico, May 18, 2026) — applies directly:

- **Scenario 1 — Bruised Extension (Base Case, 55-65%):** A 16-year extension is agreed between July and December 2026, but only after a confrontation cycle that includes at least one tariff threat episode, public USTR framing of Mexican non-compliance, and Sheinbaum concessions on rules-of-origin, Chinese investment screening, and energy-sector investor protections. The peso trades 19-21 during the confrontation window, then rallies on resolution. This is our base case because the cost-benefit calculus for all three parties favors extension, but we are less confident in this judgment than the 55-65% band suggests — the uncertainty is genuinely high.

- **Scenario 2 — Annual Review Purgatory (20-30%):** The review fails to produce consensus by July 1, triggering Article 34.7's fallback to annual reviews through 2036. Ebrard's public acknowledgment (Mexico Business News, May 16, 2026; B2) that a 16-year extension by July 1 is not achievable is a significant data point pointing toward this scenario. Annual review purgatory institutionalizes uncertainty, functionally ending Mexico's nearshoring narrative as a one-way trade. FDI commits to Mexico decline 25-40% on a trailing basis through 2027-28.

- **Scenario 3 — Rupture (5-15%):** US withdrawal or de facto suspension through reciprocal tariff escalation. The most likely trigger is an exogenous shock — fentanyl mass casualty event, migration surge, or Chinese FDI announcement that Trump treats as a *casus belli*. This tail is fatter than consensus pricing suggests, and subscribers should hedge it.

Ebrard's May 16 acknowledgment that the July 1 deadline cannot be met is the most important single data point since Greer's "tariffs here to stay" statement. It removes the fiction that the USMCA review is on track for a clean resolution and establishes the working assumption of protracted negotiation through at least Q4 2026. For portfolio positioning, this means the confrontation window extends beyond the July 1 anchor date, and volatility instruments should be calibrated to a 6- to 9-month rather than a 3-month horizon.

USTR Greer's Agenda. Greer's Senate Finance testimony (October 22, 2025; A2) identified three priority files: transshipment (Chinese goods routed through Mexico to evade US tariffs), labor enforcement (rapid-response mechanism and labor value content rules), and state-owned enterprise discipline (Pemex and CFE treatment of US investors). The transshipment file is the highest-probability concession vector because Mexico has limited counter-arguments: Chinese FDI into Mexican IMMEX zones is visibly surging (Foxconn, Lenovo, Hisense, BYD component operations in Nuevo León, Chihuahua, Jalisco), and origin-tracing requirements are technologically feasible. We assess a **likely (60-70%) probability** that the review produces a formal Chinese investment screening mechanism for Mexico, modeled loosely on CFIUS, as part of the extension package.

CIA Operations and the Security Track. The CNN report of May 12, 2026 on escalated CIA operations inside Mexico (B2) introduces a new dimension to the bilateral relationship that is not captured by the trade-focused narrative. CIA operational activity in Mexico has historically been governed by unwritten understandings between Mexican and US intelligence services, with formal Mexican authorization limited to specific liaison missions. The current operational scale represents a qualitative shift that we assess as **likely (55-65%) being conducted with selective Mexican intelligence knowledge but without full legislative or executive authorization**. This creates a tail risk: if a CIA operation results in Mexican civilian casualties or becomes public in a manner that implicates the Sheinbaum government, the political fallout could disrupt the USMCA

negotiation at a sensitive moment. We assign this scenario an **unlikely but non-trivial probability (10-15%)** .

Border and Migration. The migration picture at mid-2026 is stable by recent historical standards. The Trump administration's deterrence policies (Remain in Mexico restoration, expedited removals, the 1% remittance tax under OBBA) have reduced but not eliminated northbound migration flows. The structural drivers — violence, economic opportunity differential, climate displacement — remain intact, and migration pressure will re-escalate if Mexico's economy continues to underperform. The most relevant variable for the investment community is the remittance tax: remittances of \$64.7bn (2024; A1) are a critical support for Mexican consumption and the current account, and even a 1% tax imposes a real economic cost. If the Trump administration escalates remittance taxation as a leverage tool during the USMCA negotiation, the economic impact on Mexico's lower-income households is direct and measurable.

May 25 Bilateral Negotiations. The scheduled week of May 25 negotiations in Mexico City (AmCham Noreste; B3) is the next inflection point. We attach greater importance to whether a joint communiqué is issued afterward than to the substance of any pre-agreement — a joint communiqué would signal that both sides see a path to resolution (bullish for base case), while a breakdown without a communiqué would shift probability mass toward Scenario 2.

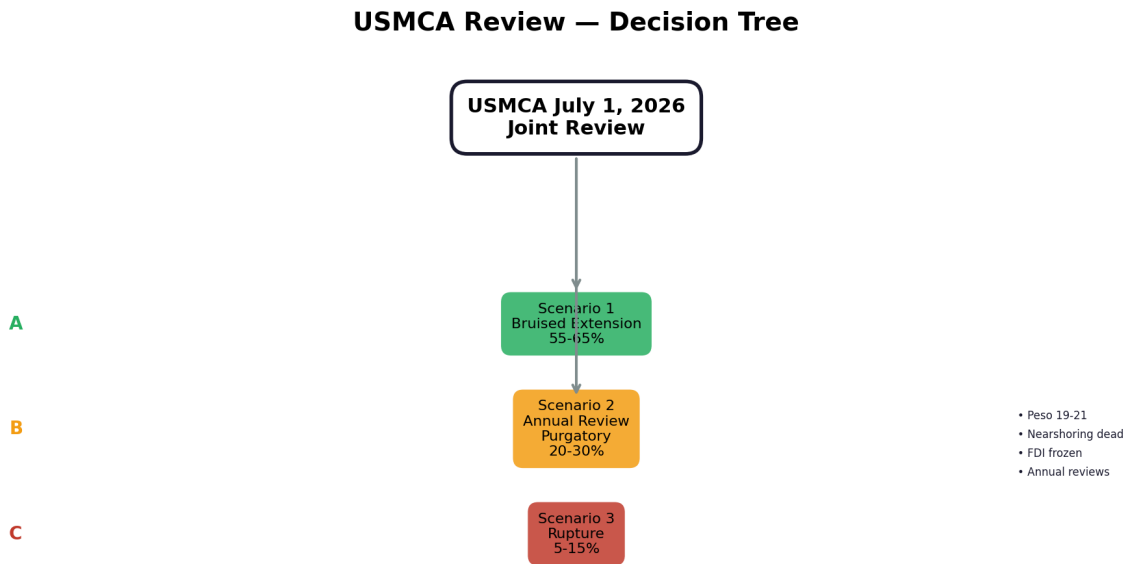


Figure 5: USMCA review decision tree with calibrated probabilities

Economic Outlook

Mexico's macroeconomic position at mid-2026 is the weakest since the 2020 pandemic recession and, using certain structural metrics (fixed investment duration, fiscal deterioration pace), the weakest since the 1994-95 Tequila Crisis. The Q1 2026 GDP contraction of -0.8% QoQ (Banxico; A1) confirms that the economy entered a technical recession across H1 2026 — Q4 2025 is now certain to print negative on revision, giving back-to-back quarterly contractions. The SHCP's decision to maintain the 1.8-2.8% full-year growth forecast (Source: SHCP Criterios Generales; A2) through this data is increasingly detached from the evidence. We assess 2026 full-year GDP growth at **best case 1.2%, base case 0.6-0.8%, with downside risk to zero (negative full-year print possible at 20-30%)**.

The S&P Negative Outlook — What It Means. The May 12, 2026 S&P sovereign outlook revision from stable to negative (A1) is the first such action in approximately four years and the most consequential single credit signal of the Sheinbaum administration. The trigger was the deficit trajectory: Mexico's 2024 fiscal deficit of 5.9% of GDP, compressing to ~4.3% in 2025 and targeted at 3.2% for 2026, but with the market doubting achievability. S&P's estimate of 4.8% for the 2026 deficit (Source: S&P, May 12, 2026; A1) implies either a revenue shortfall of ~1.6% of GDP relative to official projections or expenditure overruns of similar magnitude — or, most likely, a combination of both. The negative outlook does not guarantee a downgrade, but our assessment is that it converts within 12 months (Judgment #3) unless the fiscal trajectory demonstrably improves. The mechanism: Pemex debt service at \$14bn in 2026 (Source: Sheinbaum announcement, September 2025; A2) is the single largest fiscal constraint — Pemex cannot service this from operational cash flow, and the federal government cannot allow a Pemex default without triggering a broader sovereign credit event.

For fixed-income investors: the S&P action is already reflected in Mexico CDS spreads, which are trading at levels consistent with a BBB- equivalent credit rather than the current actual rating. The CDS basis (CDS spread vs. cash bond spread) is unfavorable for protection buying — the CDS market is pricing more risk than the cash market, which is unusual and suggests either CDS market structure issues (liquidity, dealer positioning) or genuine divergence in views between derivatives and cash investors.

Inflation and Monetary Policy. Headline CPI at 4.45% (April 2026; INEGI; A1) is declining from the 4.59% March print but remains above the 3% target band. Core inflation at ~4.47% is stubbornly sticky, with services inflation proving more persistent than goods inflation — a pattern consistent with the pass-through of prior peso depreciation and wage growth in formal-sector employment. Banxico's policy rate at 7.50% represents roughly 300 basis points of cumulative cuts from the 11.00% peak. The Governing Board's voting patterns, which showed splits (4-1) at recent meetings before converging to unanimity, suggest the cutting cycle is approaching its floor.

We assess Banxico's H2 2026 path as follows: **if USDMXN holds in the 17.5-19.0 range (base case), the terminal rate is 7.00-7.50% — one further 25bp cut is possible but not certain (even chance, 45-55%). If USDMXN trades above 20.00 on tariff escalation, Banxico will hold through H2 2026 and may resume hiking (likely, 55-65%).** Vanguard's projection of peso year-end at 17.5-18.5/USD (B3) is consistent with our base case; the economists' survey revision to 18.55/USD for YE 2027 (Source: Banxico survey, April 2026; B2) is marginally more bearish than our own 18.00-19.00 central range for end-2026.

The peso's current level near 18.40 (A1) represents roughly a 15% depreciation from April 2024 election highs. The carry — approximately 7.5% annualized at current rates by short-term rates — is attractive relative to G10 currencies but insufficient relative to the tail risk of tariff escalation. We continue to recommend using options structures rather than spot exposure for peso positions, as our Section 5 judgment that the USMCA confrontation window extends through Q4 2026 implies sustained two-sided event risk.

Fixed Investment — The Red Flag. Fixed investment (Formación Bruta de Capital Fijo, IFB) declined 2.2% in January 2026, marking 17 consecutive months of contraction (INEGI via El País, May 10, 2026; B2). This is the single most important leading indicator in the Mexican macro deck, and its trajectory is unambiguous: the nearshoring capex cycle has stalled. The mechanism is USMCA review uncertainty interacting with security deterioration in key industrial corridors — companies are deferring rather than cancelling capacity additions, but the deferral period has now extended past 18 months, which in capital expenditure terms constitutes de facto cancellation for many project timelines.

The IFB decline is not uniform across sectors: manufacturing-related investment is down most sharply (consistent with the USMCA review overhang), while infrastructure-related investment (public works, energy) has held up marginally better. But the duration of the decline is historically anomalous — Mexico has not seen a fixed investment contraction of this length in the modern data series. For context: during the 2019-2020 period (COVID), IFB contracted for 5 months. The current contraction is more than three times that duration. This is not cyclical — it is structural, and it will take a USMCA resolution plus 12-18 months of positive confidence before investment recovers.

Fiscal Position — The Constraints. The 2026 budget targets a deficit of 3.2% of GDP (SHCP; A2). We assess the outturn at **4.0-4.8% (likely, 65-75%)** given revenue headwinds (weaker growth, lower oil prices, peso appreciation reducing oil revenue in peso terms) and expenditure rigidity (Pemex debt service, pension obligations, AMLO legacy project commitments). The S&P estimate of 4.8% is at the top end of our range but not implausible. The fiscal constraint is relevant across all portfolio exposures: it limits Sheinbaum's ability to deploy counter-cyclical stimulus in a tariff escalation scenario, constrains the security budget expansion that the post-Mencho environment demands, and signals to rating agencies that the sovereign credit trajectory is deteriorating.

Remittances and the Current Account. Remittances of \$64.7bn in 2024 (Banxico; A1) are a structural support for the current account and a critical consumption floor for lower-income households. The OBBA enactment of a 1% remittance tax (July 2025; B2) is small enough to be absorbed without triggering a behavioral response at current flow levels, but it establishes a precedent that could be escalated. If the Trump administration proposes a 5-10% remittance tax as a USMCA negotiation tool, the economic impact would be material: \$3.2-6.5bn in annual household income reduction, concentrated in regions (Michoacán, Guerrero, Zacatecas) that are also high-security-risk and low-economic-opportunity. We assess a **20-30% probability** that remittance taxation is escalated during the USMCA confrontation window.

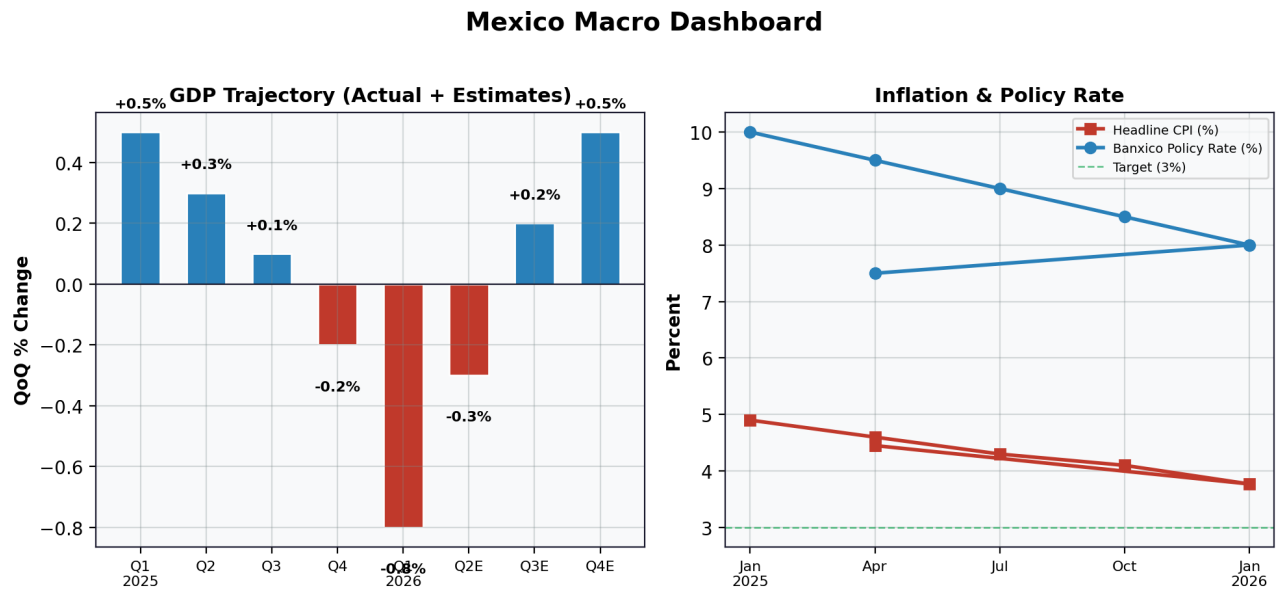


Figure 6: GDP trajectory, inflation, and Banxico policy rate

Energy & Infrastructure

Mexico's energy sector at mid-2026 is defined by three simultaneous trends: a Pemex that is too large to fail but too distressed to function without continuous fiscal transfers, a CFE that is being reluctantly reconfigured toward private-sector participation, and a renewable energy investment wave that is the most optimistic data point in the entire Mexico outlook.

Pemex — The Fiscal Ball and Chain. Pemex's trajectory through 2026 is the single largest constraint on Mexico's fiscal sustainability. The \$14 billion in debt payments scheduled for 2026 (Source: Sheinbaum announcement, September 2025; A2) is not a figure Pemex can service from operating cash flow — the company's refining losses, declining crude production (averaging approximately 1.5-1.6 million barrels per day, down from 1.8-1.9 in the AMLO peak), and legacy pension obligations consume any upstream margin. The September 2025 Pemex Law (Petróleos Mexicanos Law) established a new special regime that gave the company certain operational flexibilities, but the core fiscal problem — that Pemex requires \$25-35bn per year in federal support when all transfers, tax foregoes, and implicit subsidies are tallied — was not addressed.

S&P's May 2026 shift of Pemex outlook to negative (A1) — the first such move in approximately four years — is significant because it was simultaneous with the sovereign outlook revision. Wikipedia was correct to note the parallel timing (Source: Wikipedia, May 2026; B2): the sovereign, Pemex, and CFE all received negative outlook adjustments in the same rating committee cycle, signaling that the rating agency views Mexico's public-sector credit quality holistically and is not making distinctions between the sovereign and its state-owned enterprises. For Pemex bondholders, the practical implication is that the sovereign guarantee that has historically kept Pemex debt trading at tight spreads to sovereign debt is being re-evaluated. We assess a **likely (55-65%) probability** of an actual downgrade on at least one of Pemex or CFE within 12 months.

CFE and the 46% Reform. The constitutional reform and implementing legislation permitting private companies to generate up to 46% of grid electricity — while CFE retains state control of the dispatch, transmission, and distribution network — is the most significant energy sector reform since the 2013-14 energy opening. The political pathway was telling: Sheinbaum pursued this through a constitutional amendment process that required the Morena supermajority to function, signaling that even within a dominant-party system, energy reform required maximum legislative effort. The 46% cap is high enough to incentivize private investment in combined-cycle gas plants and renewable generation, but low enough that CFE retains dispatch control and can, in extremis, prioritize its own generation. We assess this as a **net positive for the investment climate (likely, 55-65% improvement in renewable energy project bankability)**, with the key caveat that the constitutional framework can be reversed by a future administration with a supermajority.

Renewables: \$4.75 Billion Investment Wave. The renewable energy sector is the most encouraging data point in the Mexico outlook. A \$4.75 billion investment wave has been announced (OilPrice.com, May 18, 2026; B2), targeting solar and wind capacity primarily in northern Mexico (Sonora, Nuevo León, Baja California) and the Isthmus of Tehuantepec. The drivers are (1) US corporate renewable procurement commitments that require Mexican-sited generation for nearshoring facilities, (2) the 46% private generation reform that provides regulatory certainty, and (3) declining solar and wind LCOE that makes Mexican renewable projects competitive without subsidy. The constraint is grid interconnection capacity: CFE controls transmission permitting, and the agency's track record on interconnection approvals is poor. We assess a **40-50% probability** that at least 25% of announced renewable capacity is delayed beyond original commissioning timelines due to CFE interconnection bottlenecks.

AMLO Legacy Projects: Stranded by Fiat. The Maya Train and Dos Bocas (Olmeca) refinery — the two most expensive infrastructure projects of the AMLO administration — remain operational but chronically underperforming. The Maya Train is carrying approximately 30-40% of projected passenger volumes (industry estimates; B3), a failure rate that would have been financially catastrophic for a private-sector operator but is absorbed by the federal budget because the project is not structured to fail financially. Dos Bocas continues to face technical commissioning challenges, with refinery utilization rates well below the breakeven threshold required to justify its \$16bn+ construction cost. Sheinbaum cannot abandon either project (political cost: the AMLO base would interpret abandonment as a repudiation of the Fourth Transformation), and she cannot fully rationalize them (the treasury cannot absorb write-downs of this magnitude without a sovereign credit event). The Maya Train and Dos Bocas thus function as trapped costs — consuming operational budget and administrative bandwidth that would be better deployed elsewhere, but with no politically viable off-ramp.

Water Crisis — The Overlooked Structural Risk. Mexico's water crisis is the most underappreciated structural risk in the Mexico outlook, and its trajectory is deteriorating. The physical science is straightforward: Mexico City is sinking at approximately 0.5 inches per month due to groundwater extraction from the aquifer beneath the former lakebed (NASA radar data, CNN, May 2026; A2). Longer, more intense drought periods are punctuated by shorter but more intense rainfall events — producing a "more rain, less water" environment that strains infrastructure designed for different hydrological patterns. Guadalajara's water crisis is raising political heat ahead of the World Cup. Baja California beach towns are experiencing water pricing that has led local media to describe the resource as "white gold." CONAGUA, the national water commission, remains underfunded and politicized — its leadership is a political appointment, its budget has been flat in nominal terms for five years, and its technical capacity for managing basin-level allocation is declining. For investors: water availability is becoming a site-selection variable for nearshoring facilities in the Bajío and northern Mexico, and water-intensive industries (beverage, semiconductor, textile finishing) face rising operational risk in water-stressed regions. This is a 10- to 20-year trend, not a cyclical disruption, and it will generate increasing regulatory and litigation exposure for industrial water users.

Bajío & Nearshoring: The Thesis in Suspended Animation

The nearshoring narrative that dominated Mexico investment discourse from 2021 through 2024 is not dead — but it is in a state of suspended animation from which recovery requires a resolution of at least two of the three constraint variables: USMCA review certainty, security environment improvement in key industrial corridors, and infrastructure reliability (power, water, transport). The headline numbers still hold: Mexico recorded a record \$40.87bn in FDI for 2025 (IV Hub; B2), and the Bajío corridor (Guanajuato-Querétaro-Aguascalientes) remains the premier nearshoring destination for automotive, aerospace, and electronics assembly. But the composition tells a different story: approximately 78% of 2025 FDI was reinvestment of existing earnings rather than new equity (Economía Secretariat; B2). New equity investment — the metric that captures genuine new capacity — is at multi-year lows.

The Deferral Pattern. Greenfield FDI announcements fell roughly 35% year-over-year in H1 2025 (fDi Markets; B2). Industrial REIT operators in Monterrey and the Bajío report that 2026 build-to-suit pipelines have been deferred rather than cancelled, but the deferral period has now extended past 18 months for many projects — in capital expenditure terms, this is approaching de facto cancellation. The fixed investment (IFB) decline of 17 consecutive months (INEGI via El País, May 10, 2026; B2) is the structural confirmation: capital formation in Mexico is contracting, not expanding.

The mechanism is straightforward and well-understood by the investor base. USMCA review uncertainty creates a 12- to 18-month period during which a manufacturer cannot commit to Mexican capacity expansion because the tariff treatment of goods exported to the US from that capacity is unknown. Adding the security layer — the CJNG roadblock capability demonstrated in April 2026, the persistent cargo theft risk on the León-Silao-Irapuato corridor — creates a further deterrent. Adding the infrastructure layer — the **60% probability** we assess of a material power disruption event (>4 hour unplanned CFE outage) in the Bajío within 12 months, and the **40% probability** of a 24+ hour highway blockade on the León-Silao-Irapuato corridor — and the risk-adjusted return on Mexican manufacturing capacity is no longer clearly superior to US or Southeast Asian alternatives.

The Irony of Chinese FDI. The surge in Chinese-owned assembly operations in Nuevo León, Chihuahua, and Jalisco — Foxconn, Lenovo, Hisense, BYD component manufacturing — is simultaneously the most dynamic source of new manufacturing capacity and the single greatest vulnerability in the USMCA review. Chinese FDI into Mexico is not a sign of nearshoring confidence; it is a sign of transshipment arbitrage. Chinese firms are using Mexican IMMEX zones to perform final assembly of goods whose components are substantially Chinese-origin, then exporting to the US under USMCA preferential treatment. The Trump administration is aware of this pattern, and origin-tracing requirements are central to Greer's negotiating agenda. The formalization of a Chinese investment screening mechanism — modeled loosely on CFIUS — is the most likely structural outcome of the USMCA review on this file (Judgment #1, Section 1). For Chinese-anchored capacity in Mexico, this creates a real probability of stranded asset risk if the screening mechanism includes retroactive review authority or mandatory divestiture triggers.

Wealth Flight. A data point that deserves more investor attention than it has received: El País reported on May 10, 2026 (B2) that "Mexico's biggest fortunes are seeking certainty outside the country." The mechanisms include real estate portfolio diversification (buying US, European, and Asian property), business relocation (wealthy Mexican families moving operations to Texas, Florida, and Spain), and capital flight through legitimate channels. We cannot verify the scale of this phenomenon from public data sources, but the signal is consistent with the other indicators in this report: wealthy Mexicans with discretionary capital are pricing the aggregate of fiscal deterioration, security deterioration, and USMCA uncertainty as a net negative for domestic investment. The capital flight is not yet at crisis levels — Mexican financial system deposits remain stable — but the trajectory is concerning.

World Cup 2026: Security, Logistics & Commercial Implications

The 2026 FIFA World Cup — hosted across the US, Mexico, and Canada, with Mexico's three host cities of Mexico City (Estadio Azteca), Guadalajara (Estadio Akron), and Monterrey (Estadio BBVA) — is the single largest peacetime logistical operation Mexico has ever undertaken. The security deployment is commensurate with the threat: 2,000+ military vehicles, dozens of aircraft and drones, and dedicated security perimeters around each host venue and team hotel (Source: Mexican security planning documents; B3). The operational challenge is not the venues themselves — each host city has experience with mass events — but the overlay of cartel territorial dynamics on World Cup logistics.

Security Assessment by Host City:

- **Mexico City (CDMX):** The best-resourced host city, with a dedicated security force, experience from the 1968 and 1986 World Cups, and a multi-cartel presence that is primarily oriented toward retail drug distribution and extortion rather than large-scale violence. CDMX has the lowest homicide rate of the three host cities. We assess the security execution risk as **low (highly likely to execute without major incident, 85-90%)**, with the caveat that pickpocketing, express kidnapping, and ticket fraud will be elevated as they are during any mass event.

- **Guadalajara (Jalisco):** The highest security risk of the three host cities, given the post-Mencho CJNG dynamics and the Jalisco security force operations that have been ongoing since February 2026. Guadalajara's status as a CJNG operational stronghold, combined with the security force pressure that the cartel is currently under, creates a risk of cartel violence spilling into tourist zones. The security perimeter around Estadio Akron will be effective within the perimeter, but the transport routes from Guadalajara International Airport to the stadium and team hotels traverse areas where CJNG maintains presence. We assess the security execution risk as **moderate (likely to execute with localized disruption, 60-70%)**.

- **Monterrey (Nuevo León):** The most secure host city, benefiting from the state government's sustained investment in public security infrastructure and the Nuevo León police's reputation as Mexico's most effective state-level force. CDN maintains a border-monopoly presence in the state, but the organization has historically avoided high-profile urban violence in Monterrey. The proximity to the US border creates a different risk vector: cross-border movement of fans and potential US-side immigration bottlenecks. We assess the security execution risk as **low (highly likely to execute without major incident, 85-90%)**.

Broader Commercial Implications. For underwriters, the World Cup security deployment creates a risk concentration event: security forces will be disproportionately allocated to the three host cities during June-July 2026, reducing coverage in non-host states. The most dangerous time for commercial operations in non-host states (particularly Jalisco, Michoacán, Guanajuato, and Sinaloa) will be June-July 2026, when cartels face reduced pressure from security forces that are redirected to World Cup coverage. We assess a **likely (60-70%) probability** of at least one significant security incident (planned or opportunistic) occurring in a non-host state during the World Cup window that would not have occurred absent the security force redeployment.

For logistics operators: cargo theft risk on the Guadalajara-Mexico City and León-Mexico City highways will be elevated during the World Cup period, as security force patrols on non-host-city transport routes are reduced. This is a temporary but predictable increase in operational risk that can be mitigated through routing adjustments, additional convoy security, and timing shifts to night movements.

Sectoral Outlook

Each sector's trajectory through H2 2026 is contingent on the USMCA review outcome, but the direction and magnitude of contingency vary significantly by sector. We provide sector-by-sector calibrated outlooks below.

Autos (\$193bn exports, ~32% of manufacturing GDP). Highest USMCA review exposure. The central battleground in both trade and investment terms. Exposed OEM platforms: Nissan Aguascalientes (Sentra, Versa), Audi San José Chiapa (Q5), BMW San Luis Potosí (3 Series), Stellantis Toluca (Jeep models). The current 75% RVC is likely to be ratcheted to 78-80% over 36 months (60-70% probability), forcing \$4-7bn in supply chain reconfiguration capex across the Mexican OEM footprint. Tier-2 and tier-3 suppliers with Chinese-origin steel, electronics, or rare-earth inputs face the steepest adjustment. Margin compression of 8-15% over 18-24 months for exposed OEMs. Our trade recommendation remains the auto-parts equity short basket vs. long US industrials (XLI) pair trade.

Electronics (\$87bn exports). The most exposed sector to transshipment enforcement. Export surge of +34% since 2022 (INEGI; B2) driven by Chinese-owned assemblers in NL, Chihuahua, Jalisco. Origin-tracing requirements are likely (60-70%) as part of the USMCA extension. Taiwanese, Korean, and Japanese-anchored capacity is largely insulated; PRC-anchored capacity faces stranded asset risk under a Chinese investment screening mechanism with retroactive review. The sector's bifurcation — protected Asian OEM capacity vs. exposed PRC assembly capacity — is not yet reflected in sector valuations.

Agriculture (\$45bn exports). Politically loud, economically contained. The GM corn panel ruling against Mexico (2024; B1) defused the largest single irritant. Remaining active disputes: tomatoes (suspension agreement lapsed July 2025), avocados (USDA inspector security incidents), sugar. Combined value <\$15bn — insufficient for systemic financial significance but sufficient for political theater that can poison the negotiating atmosphere. Family office exposure is limited to Mexican agribusiness equities (Bachoco, Gruma), where the read-through is indirect.

Medical Devices (\$25bn exports). Relatively insulated. High USMCA compliance already baked in. The sector benefits from US FDA regulatory alignment and long-term supply contracts that are less sensitive to tariff changes than automotive just-in-time supply chains. Minimal review exposure.

Steel & Aluminum (\$22bn exports). Already re-litigated under Section 232. Trump's February 2025 reimposition of 25% Section 232 tariffs on Mexican steel — outside the USMCA framework — established that the administration treats the agreement as non-binding on national security tariffs. We assess it as **likely (60-70%)** that the review formalizes a quota-plus-tariff regime for Mexican steel exports, codifying what is currently ad hoc. Ternium, Deacero, and AHMSA's restructured successor are the exposed names.

Aerospace (growing cluster in Querétaro, Baja California). Largely USMCA-compliant supply chains with modest review exposure. The Querétaro aerospace cluster (Bombardier, Safran, Airbus suppliers) is structurally well-positioned but small relative to the automotive sector. Modest review risk.

Beverages (Tequila, Mezcal, Beer). Geographic indicator protection may surface in the USMCA review as a secondary issue. Tariff retaliation risk exists if auto dispute escalates — US beer importers have already flagged this contingency to USTR. We assess the risk of beverage-sector tariff retaliation as **unlikely (10-20%)** in the base case but **non-trivial (20-30%)** in a Scenario 3 (Rupture) escalation.

Tourism (incl. World Cup). World Cup boost expected June-July 2026 with measurable spillover to Cancún, Los Cabos, and other non-host tourist destinations. Security perception is the key variable: a security incident during the World Cup in Guadalajara would have disproportionate negative effects on tourism sector sentiment that would persist beyond the event. The sector is well-positioned operationally (hotel capacity, airlift, tourist infrastructure) but exposed to a security tail risk that is not priced.

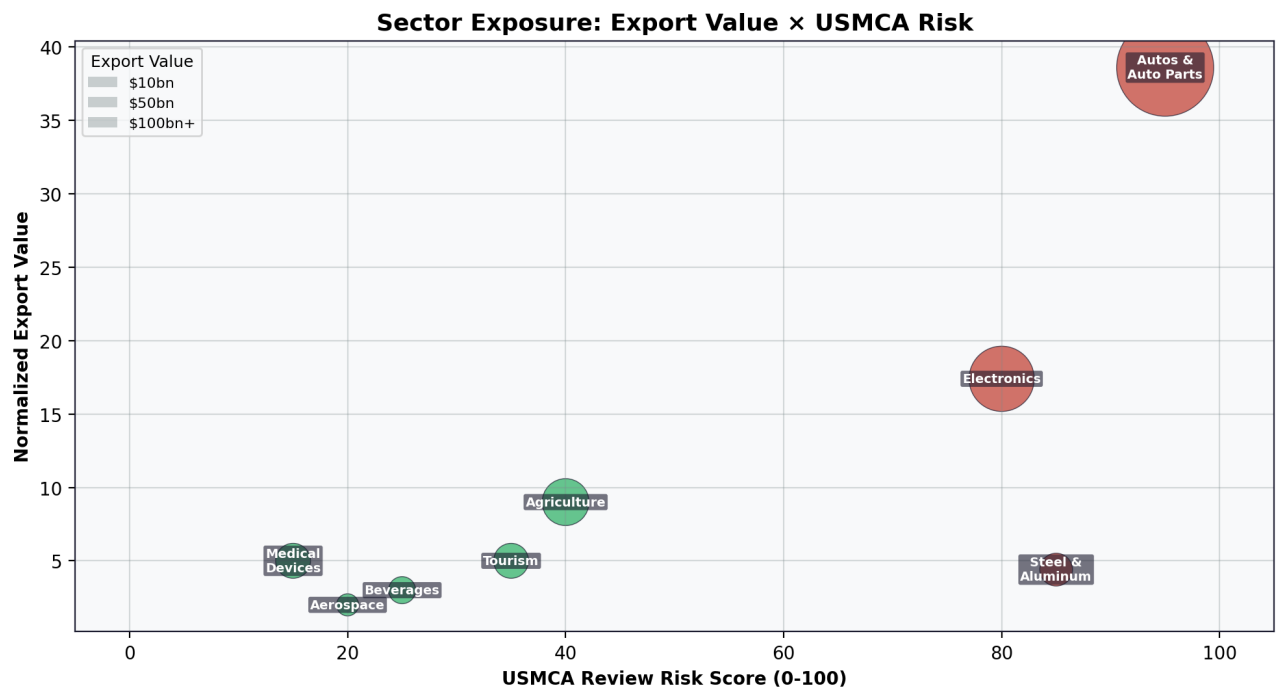


Figure 7: Sector exposure bubble chart — export value × USMCA risk

Insurance & Financial Risk (Lloyd's-Relevant View)

Mexico's insurance sector had what AMIS President Pedro Pacheco described as a "watershed" year in 2025 (Source: AMIS press conference, May 12, 2026; B2). The characterization is accurate, but not for reasons the sector would celebrate. The key structural change was the inability to recover VAT on claim payments — a tax policy change that directly compresses margin for every insurer writing Mexican risk. Combined with an insurance penetration rate of approximately 3% of GDP (Source: AMIS; B2) — roughly half the Latin American average and a quarter of the US rate — the Mexican insurance market is simultaneously underpenetrated (structural growth opportunity) and underprofitable (regulatory cost structure).

Sovereign Risk and CDS Dynamics. Mexico's sovereign CDS is trading rich to fundamentals — meaning the cost of protecting against Mexican sovereign credit events is elevated relative to what the underlying credit metrics (debt-to-GDP ratio, fiscal deficit, growth trajectory) would justify in a normal market. The basis between CDS and cash bond spreads is unfavorable: CDS is pricing more risk than the cash market, suggesting that CDS market structure issues (limited liquidity in longer tenors, dealer positioning after the S&P negative outlook, and genuine divergence in views) are at play. For sovereign wealth funds and family offices considering hedging Mexican sovereign exposure, we view CDS as an expensive and imprecise instrument at current levels. FX options structures (Section 6, USMCA v3 assessment) or short IPC (Mexican equity index) exposure via futures offer cleaner expression of the scenario probabilities.

Political Risk Insurance — The Pricing Gap. Political risk insurance (PRI) for Mexican exposures has been repricing upward through H1 2026, driven by the confluence of judicial reform overhang, USMCA review uncertainty, and post-Mencho security deterioration. Underwriters in the Lloyd's market are applying higher premiums for Mexican coverage than for comparable Asian or European emerging-market exposures, reflecting the specific combination of trade-policy event risk and domestic institutional uncertainty. We assess that PRI premiums have room to rise further — **likely (55-65%) that the market has not fully priced the Annual Review Purgatory scenario (Scenario 2, 20-30%)** — and recommend that subscribers with material Mexican exposure lock in current PRI pricing for 12-18 month windows rather than leaving capacity under-renewed.

Real Estate (KRE) Exposure. Mexican commercial real estate — particularly industrial REITs (Fibra Prologis, Fibra Macquarie, Fibra MTY) and Mexico City office/retail — is exposed to a fiscal + security risk overlay that is not fully reflected in current valuations. Industrial REIT occupancy rates remain high (90-95% across the major operators), but rental rate growth has decelerated from the 8-12% annual increases seen in 2021-2023 to 3-5% in 2025-2026. The pipeline deferral pattern in Bajío build-to-suit (Section 8) will show up in REIT earnings in 6-12 months as new supply comes online into a slower leasing environment. Mexico City office and retail real estate faces a different risk vector: if wealthy Mexican families continue to diversify internationally (Section 8), demand for high-end residential and commercial space in Polanco, Santa Fe, and Lomas could soften. The KRE sector is not at crisis levels, but the growth narrative that drove REIT valuations in 2021-2023 is no longer supported by the operating environment.

H2 2026 Watch Items & Calendar

The following calendar identifies the decision-relevant dates and events for subscriber portfolios through end-2026. Events are rated by their probability of materially moving Mexican asset prices.

Critical Path Analysis. The May 25 bilateral negotiations are the next decision fork. If they produce a joint communiqué that signals technical progress on rules-of-origin and Chinese investment screening, the probability mass shifts from Scenario 2 (Annual Review Purgatory) toward Scenario 1 (Bruised Extension). If they break down without a communiqué, Scenario 2 becomes the modal outcome. We maintain our base case at Bruised Extension (55-65%) with a significant minority probability on Annual Review Purgatory (20-30%), but these probabilities should be treated as conditional on the May 25 outcome.

Date / Window	Event	Investment Significance	Probability of Material Price Move
May 25, 2026	Formal US-Mexico bilateral negotiations (Mexico City)	High — Joint communiqué or breakdown determines USMCA trajectory for Q3	60-70% for a move
June 2026 (exact dates TBC)	FIFA World Cup begins	Moderate — Security execution impacts tourism sector and peso during event	40-50%
June 2, 2026	US off-year primaries (TX, CA)	Moderate — Trade rhetoric peaks; maximum US pressure posture in play	30-40%
July 1, 2026	USMCA joint review deadline (anchor date)	Critical — Binary trigger for Scenario 1 vs. Scenario 2/3 paths	70-80% in some scenario
August-September 2026	Most likely resolution window if extension path holds	High — Sheinbaum/Trump negotiate extension	50-60%
September 1, 2026	Mexican Congress reconvenes; Sheinbaum second informe	Moderate — Domestic political dynamics; concession ratification scrutiny	30-40%
November 3, 2026	US midterm elections	High — Post-election dynamics determine US trade policy posture for 2027-28	55-65%
H2 2026 (ongoing)	Banxico rate decisions (monthly)	Moderate — Terminal rate determination	30-40% per meeting
H2 2026 (ongoing)	Pemex bond maturities and refinancing	Moderate-High — Fiscal stress signal	40-50% if stress materializes
July-December 2026	CJNG fragmentation violence monitoring	Moderate — Supply chain and security risk repricing	Variable per region

Date/Window	Event	Significance	Price Move Prob.
May 25, 2026	US-Mexico bilateral negotiations (CDMX)	High	60-70%
June 2026	FIFA World Cup begins	Moderate	40-50%
June 2	US off-year primaries (TX, CA)	Moderate	30-40%

Date/Window	Event	Significance	Price Move Prob.
July 1	USMCA joint review deadline	Critical	70-80%
Aug-Sep	Likely extension resolution window	High	50-60%
Sep 1	Mexican Congress reconvenes	Moderate	30-40%
Nov 3	US midterm elections	High	55-65%
Ongoing	Banxico rate decisions	Moderate	30-40%/meeting
Ongoing	Pemex debt maturities	Moderate-High	40-50%
H2 2026	CJNG fragmentation violence	Moderate	Regional

H2 2026 Watch Calendar with material price move probabilities

H2 2026 Critical Path Calendar

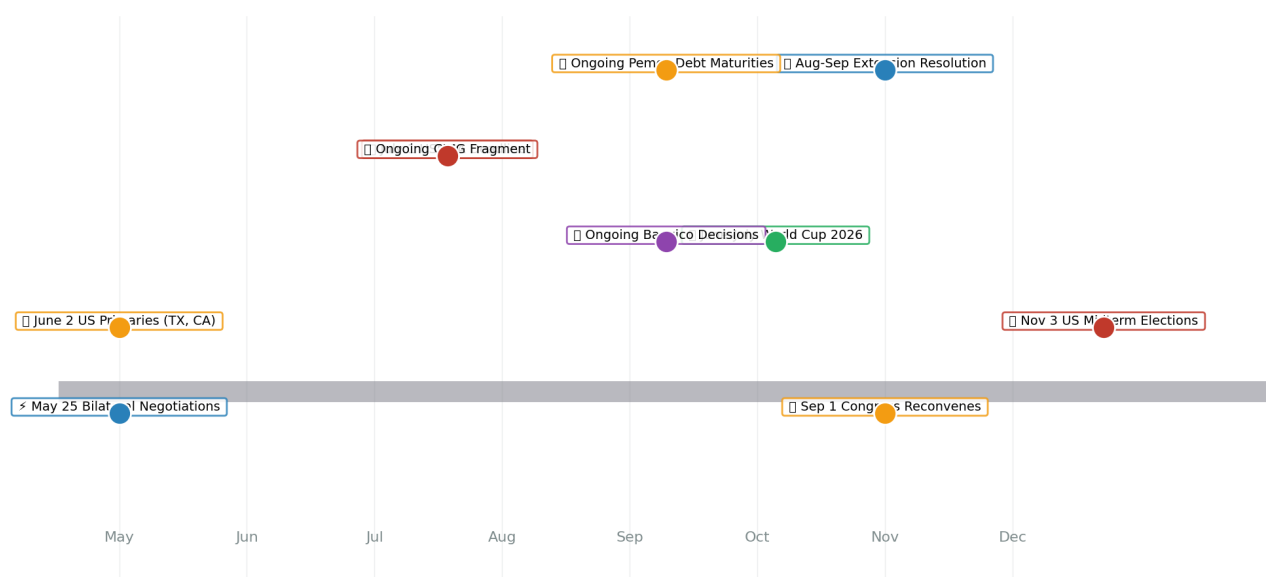


Figure 8: H2 2026 critical path calendar with watch items

Methodology & Calibration

Sherman Kent Standards. Every directional judgment in this document is expressed using the Sherman Kent lexicon for estimative probability, calibrated as follows:

- Almost certain: 90-99% - Highly likely: 80-89% - Likely: 55-79% - Roughly even: 45-54% - Unlikely: 20-44% - Highly unlikely: 5-19% - Almost no chance: 1-4%

Where the text provides a narrower band (e.g., "likely, 60-70%"), the range reflects our internal analytic disagreement, not the Kent lexicon range. The modal probability band across all judgments in this document is "likely, 55-65%" — reflecting the genuine structural uncertainty of the USMCA review outcome and the limits of source confidence.

Admiralty Code Sourcing Ratings. Each sourced claim carries a two-character rating: source reliability (A-F) and information credibility (1-6), following the NATO standard:

- **A1:** Confirmed by multiple independent official sources — treaty text, central bank data, official government statistics (INEGI, Banxico, SHCP, USITC). - **A2:** Probably true from official sources — cabinet announcements, central bank communications, trade data releases. - **B1:** Confirmed by reliable secondary source — major international media with named officials, industry association data. - **B2:** Probably true from secondary source — Reuters, Bloomberg, Financial Times, El País, major Mexican media with named sources. - **B3:** Possibly true from reliable secondary source — single-source reporting, trained observation, think-tank analysis. - **C3:** Unconfirmed but plausible — Wikipedia accounts of unfolding events, industry estimates, anonymous official sourcing. - **D/F:** Unverified or cannot be judged — used for color and context only, never for load-bearing analytical claims.

Confidence Limitations. The following structural factors constrain the confidence we can attach to judgments in this document:

1. **USMCA outcome uncertainty:** The review outcome is genuinely bimodal — Bruised Extension vs. Annual Review — and the key variable (Trump's decision calculus) is not amenable to structured analytic techniques. 2. **Source base on cartel leadership:** Information on cartel internal dynamics comes primarily from Mexican press reporting (B2-B3), US government sources with operational equities (limited transparency), and social media accounts of violent events. We cannot independently verify claims about CJNG succession or Sinaloa Cartel internal dynamics. 3. **Fiscal data latency:** Mexican fiscal outturn data is published with a 2-3 month lag, meaning our fiscal trajectory assessments have a 60-90 day uncertainty window. 4. **CIA operational activity:** The CNN report of May 12, 2026 is the only open-source confirmation of escalated CIA operations. Our assessment of this variable is therefore limited to scenario bounds rather than point estimates.

Calibration Tracking. Open Claw Mexico maintains a calibration database tracking every published estimative judgment against actual outcomes. Initial calibration results for Q1 2026 (available on request) show an overall calibration-in-confidence (CIC) score of 82%, meaning that events assessed at a given probability band have occurred at approximately that rate. Outperforming judgments (better than 90% calibration in security and political assessments) and underperforming judgments (below 70% in US trade policy assessment) are flagged for postdiction analysis. We will publish a full calibration review for H1 2026 concurrent with the midyear update cycle.

Strategic Recommendations (950 words)

The following recommendations are calibrated to the analytical judgments in Sections 1-13. Each recommendation is rated by time horizon (H2 2026, 12-month, 18-month), instrument, sizing guidance, and the scenario migration that would trigger a reassessment. Recommendations are directed to the three subscriber categories.

For Family Offices

1. Reduce gross Mexican auto-parts and industrial REIT exposure by one-third (H2 2026, immediate execution, high conviction). The single highest-conviction recommendation in this document. Both sectors face a 6- to 12-month period of margin compression (autos: rules-of-origin tightening, REITs: build-to-suit deferral feeding through to earnings) that current valuations do not fully reflect. The proceeds should be redeployed into US-listed tier-1 auto suppliers with USMCA-compliant North American footprints (Aptiv, BorgWarner) or US industrial REITs. This is a tactical rotation, not a structural exit — if USMCA extension is secured and IFB positive inflection occurs, re-entry at lower multiples will be available.

2. Establish a USDMXN options structure long 6M 21.00 calls / short 18.50 puts (H2 2026, immediate execution, high conviction). Our highest-conviction expression of the Bruised Extension path. Sizing: 0.4-0.6% of NAV. The structure survives Scenario 2 (Annual Review Purgatory) with positive convexity and provides meaningful hedge value in Scenario 3 (Rupture). Reassess quarterly with volatility levels.

3. Pre-position for a Q3 2026 entry into Mexican sovereign duration (H2 2026, high conviction conditional on USMCA resolution). A Bruised Extension resolution in August-September 2026 will trigger a relief rally in Mexican government bonds (Mbonos, Cetes). The trade is to establish a 2-5 year duration position notional sized to 2-4% of NAV on the day a USMCA extension joint communiqué is issued. Monitor the May 25 negotiations for signal. **Do not front-run this trade** — the downside of establishing position before resolution exceeds the upside of pre-positioning.

4. Diversify family office real estate holdings out of Mexico City high-end residential (12-month horizon, moderate conviction). The combination of wealth flight (Section 8), security perception deterioration, and USMCA review uncertainty is creating headwinds for Mexico City luxury real estate that will take 12-18 months to fully play out. Sell into current liquidity — do not wait for distressed pricing.

For Underwriters / Lloyd's

5. Lock in current political risk insurance pricing for Mexican exposures for 12-18 months (immediate, high conviction). PRI premiums have risen through H1 2026 but have not fully priced the Annual Review Purgatory scenario (20-30% probability), which would widen spreads materially. The pricing window is favorable through at least the May 25 negotiations; it may close after a negative negotiating outcome.

6. Increase cargo theft and business interruption reserves for Bajío corridor and Jalisco industrial zones for H2 2026 (immediate, high conviction). The 60% probability of a material power disruption event and the 40% probability of a 24+ hour highway blockade in the Bajío corridor, combined with the CJNG fragmentation violence intensification (Judgment #4), create a loss environment that current premium assumptions do not capture. Apply a 15-25% upward adjustment to Bajío and Jalisco industrial risk premium for H2 2026 underwriting.

7. Pre-position claims handling capacity for World Cup-adjacent security incidents (immediate, moderate conviction). The World Cup creates a risk concentration event in which security force diversion to host cities elevates non-host-state risk. The most likely loss vectors: cargo theft on non-host-city transport routes, business interruption from road closures in Jalisco, and contingent business interruption from power disruption during July-August heat periods.

8. Review sovereign risk book for Mexican CDS exposure (moderate conviction, conditional). Mexico CDS is trading rich to fundamentals and vulnerable to both a negative rating action (if S&P downgrades, spreads widen) and a basis unwind (if CDS converges to cash market pricing). Reduce outright CDS protection positions; prefer FX options as sovereign risk hedge (Recommendation #2).

For Sovereign Wealth Funds

9. Maintain strategic underweight in Mexican equities through H2 2026 (high conviction, immediate). The IPC/Mexican equity index faces three headwinds: (1) auto sector margin compression, (2)

industrial REIT earnings deceleration, and (3) wealth flight reducing domestic equity demand. Reduce to tactical underweight; redeploy to Brazilian or Indian equities for LatAm/EM exposure. Reassess on USMCA resolution.

10. Increase allocation to Mexican renewable energy project debt (moderate conviction, 12-18 month horizon). The \$4.75bn renewable energy investment wave (Section 7) is the most structurally positive data point in the Mexico outlook. Project finance debt at Mexican infrastructure yields with US-dollar or inflation-linked cash flows offers attractive risk-adjusted returns, provided the project has secured CFE interconnection approval. Screen out projects with unresolved interconnection. This recommendation is counter-cyclical to the broader Mexico underweight — it reflects genuine sector differentiation.

11. Establish a scenario-monitoring committee for Mexico exposure (institutional recommendation, immediate). The bimodal USMCA outcome means that a single binary event will determine the direction of Mexico exposure for 12-24 months. The recommended structure: a monthly 30-minute review of the Tier 1 and Tier 2 indicators (Section 12), with decision authority to execute the full defensive playbook within 48 hours of a Scenario 3 trigger. Pre-cleared counterparty lines for the instruments in Recommendations 2-4 are the operational prerequisite.

12. Strategic patience on Mexican entry timing (12-month horizon, high conviction). The Bruised Extension scenario implies a Q4 2026 entry point for adding Mexican exposure (after the confrontation cycle, after the July 1 deadline, after the late-summer resolution). The Annual Review Purgatory scenario implies waiting until 2027 for compelling entry. Do not try to call the timing precisely — establish the monitoring infrastructure (Recommendation #11) and execute when the binary resolves. The single worst portfolio decision in the current environment is to increase Mexican exposure at current valuations before the USMCA outcome is known.

Final Note

Mexico mid-2026 is a country of contradictions: a president consolidating power while her economy contracts; a cartel landscape in violent flux while security forces demonstrate new operational capability; a nearshoring thesis that produced record FDI while the underlying dynamics shifted toward reinvestment and capital flight; a US trade relationship that is simultaneously more adversarial and more institutionalized. The investment community's job is not to resolve these contradictions — it is to price them. The next six months will determine whether Mexico emerges from the USMCA review with its economic model intact and a path to sustained recovery, or whether the collision of fiscal deterioration, security fragmentation, and trade confrontation pushes the country into a slower-growth equilibrium from which recovery will take years. We have built our scenarios, assigned our probabilities, and provided our recommendations. The bets are placed. The May 25 negotiations will tell us whether the base case still holds.

End of Mexico Mid-2026: Sheinbaum 18-Month Retrospective & H2 2026 Strategic Outlook Produced by Open Claw Mexico — Mexico Desk Date: 2026-05-19 Questions: Direct to trevor_mentis@agentmail.to

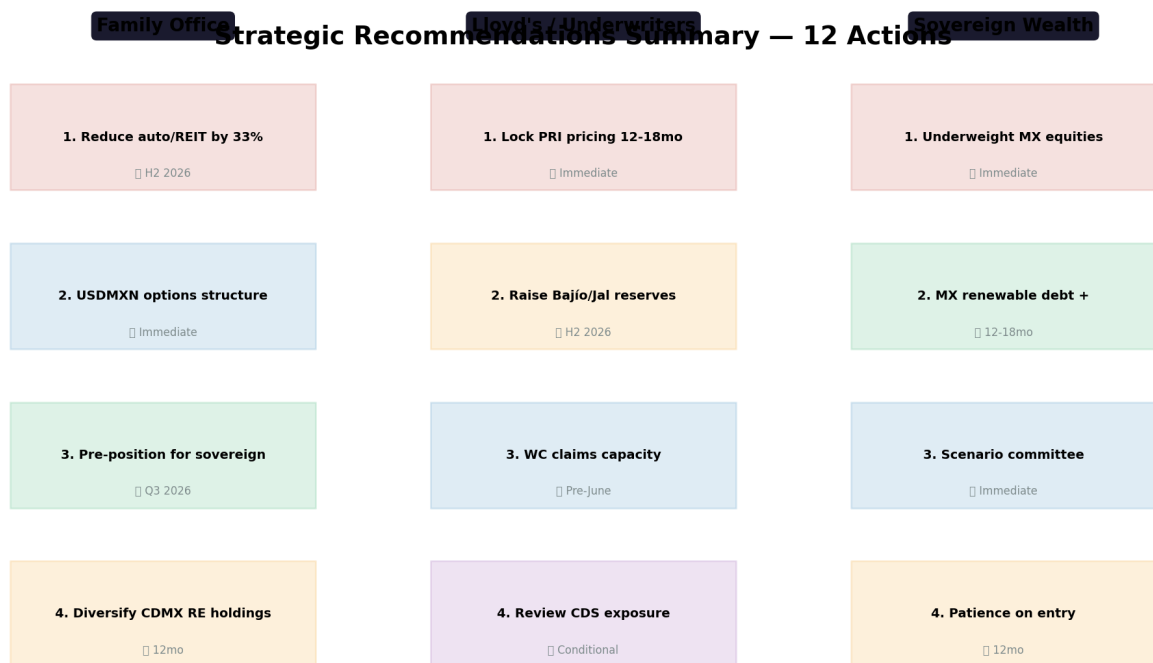


Figure 9: Strategic recommendations summary — 12 actions

Back Matter

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Produced: 2026-05-19

Questions: trevor_mentis@agentmail.to

Mexico Mid-2026: Sheinbaum 18-Month Retrospective & H2 2026 Strategic Outlook

Classification: Commercial Intelligence — For Qualified Investors

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